

Please check the examination details below before entering your candidate information

Candidate surname						Other names					
Centre Number						Learner Registration Number					

Pearson BTEC Level 3 Nationals Certificate, Extended Certificate, Foundation Diploma, Diploma, Extended Diploma

Thursday 18 May 2023

Morning (Time: 2 hours)	Paper reference	31463H
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Business/Enterprise and Entrepreneurship

UNIT 3: Personal and Business Finance

You must have: Calculator	Total Marks
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Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your calculations and the steps you have used.

Turn over ►

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SECTION A

Personal Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend 45 minutes on this section.

- 1 Give **two** features of an Individual Savings Account (ISA).

1

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2

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(Total for Question 1 = 2 marks)

- 2 Give **two** advantages of setting personal financial targets and goals.

1

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(Total for Question 2 = 2 marks)

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3 Explain **one** advantage for the consumer of using a standing order to pay bills.

(Total for Question 3 = 2 marks)

4 Explain **two** disadvantages for the consumer of using a payday loan to pay for a holiday.

1

2

(Total for Question 4 = 4 marks)



Taylor is 30 years old and has just bought her first property. She has a £150 000 mortgage but no other debts. Taylor wants to renovate the property and sell it in two years' time. Taylor will need to purchase decorating materials and new bathroom equipment for her property. She estimates that this will cost her £2 500. She has £500 in her savings account. She is wondering whether to save up the money for the renovations, or to borrow from a bank.

- 5 Discuss whether Taylor should save her own money for the renovations or borrow from a bank.

(6)



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(Total for Question 5 = 6 marks)



Luis is 18 years old and has recently left home to go to university. Luis has moved into a house share with other students. Luis has arranged to pay his rent by standing order each term. He pays his other bills, such as phone bill and gaming subscriptions, by direct debit. Luis enjoys shopping for clothes and games online. He has a student bank account with a debit card. Luis has realised that after paying for his food, transport and academic costs there is little money left. He is already worried that he may have to use his overdraft facility. Jared, Luis's housemate, has advised him to take out a credit card.

Luis has researched the following credit card providers.

Credit card provider	Credit limit	APR (Interest)	Interest free purchases period	Cashback on purchases	Penalty charges for missing the minimum monthly repayment
Westshire	£500	18.9%	56 days	2%	£12 per day
Ashridge	£1 000	21.9%	30 days	1%	£5 per day
Shirevale	£750	22%	60 days	0.5%	No charge for the first 3 days rising to £10 per day after this.
Royal Bank	£2 000	26%	90 days	1.5%	APR increased to 29.9%

6 Evaluate which credit card provider would be the most suitable for Luis.

(12)



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 28 MARKS



SECTION B

Business Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend 75 minutes on this section.

7 State **two** types of revenue income.

1

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2

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(Total for Question 7 = 2 marks)

8 Explain why a business might calculate the **margin of safety**.

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(Total for Question 8 = 2 marks)

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9 State **two** outflows that could be recorded in a cash flow forecast.

1

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2

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(Total for Question 9 = 2 marks)



Kai owns a business called *Hole in One* that makes and sells high quality doughnuts throughout the UK.

Kai is introducing a new premium product to his range called *The Good One*. *The Good One* will be gluten free, lactose free and vegan. Kai knows that the specialist ingredients for this will be twice as expensive as for his current range. He will also need to invest in a separate production line to prevent cross-contamination of allergens. This investment will increase his fixed costs as he intends to lease the new production line.

Kai has estimated the following figures for *The Good One*:

- variable costs £2 per box
- selling price £5 per box.

He estimates he will sell 1 100 boxes of doughnuts per month in his first year of trading.

10 (a) Complete the table below.

(2)

Quantity (boxes)	0	500	1 000	1 500
Fixed costs (£)	1 200	1 200	1 200	1 200
Total variable costs (£)	0	1 000	2 000	(ii)
Total costs (£)	1 200	2 200	3 200	4 200
Total revenue (£)	0	(i)	5 000	7 500

(b) Use the figures in 10(a) to complete the break-even chart by **plotting** and **labelling** the following:

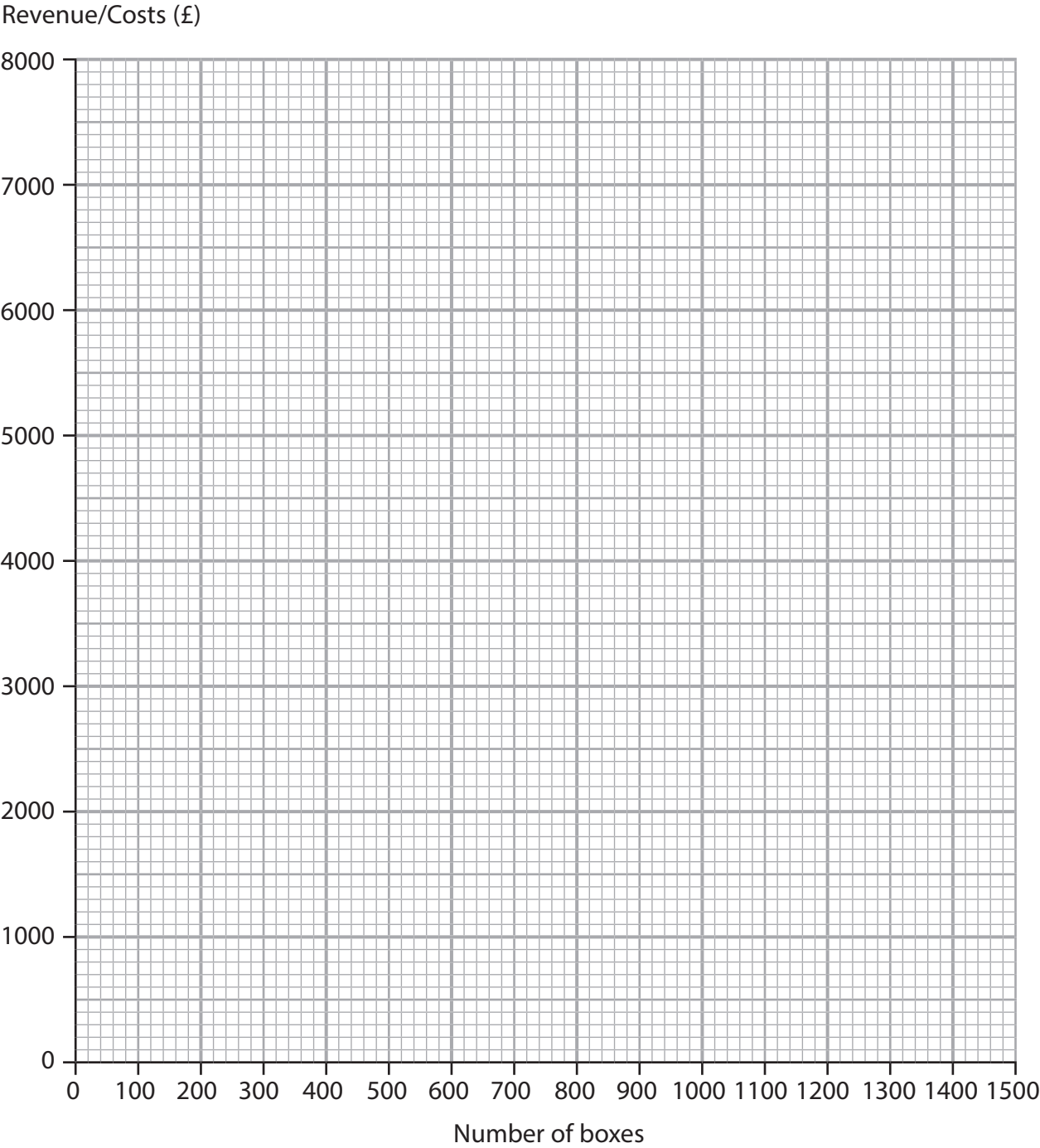
- Total revenue
- Fixed costs
- Total costs
- Break-even point.

(4)



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Break-even chart for *The Good One*



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- (c) Kai had forgotten to include additional factory space in his calculations for fixed costs. These are now £150 higher than he originally thought. Calculate the new break-even point including the new fixed costs.

(4)

Break-even point boxes

- (d) Discuss the benefits and drawbacks to *Hole in One* of using break-even analysis.

(6)

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(Total for Question 10 = 16 marks)



Kim runs a business called *Kim's Castles*. Kim owns two luxury apartments in one of the UK's biggest cities, which she purchased in 2020. Both properties are redecorated once each year and Kim constantly updates her colour schemes and soft furnishings. This helps her properties maintain their 4-star rating. She rents out the apartments to tourists and businesspeople. Customers can book for a single night but if they book for longer than one week the rate per night will fall.

11 (a) Complete the statement of financial position on page 18 for *Kim's Castles*:

- (i) Accumulated depreciation of machinery
- (ii) Cash
- (iii) Net current assets/liabilities
- (iv) Net assets
- (v) Capital.



Kim's Castles

Statement of financial position for the year ended 31 December 2022

	Cost	Accumulated depreciation	Net book value	
	£	£	£	
Non-current assets				
Property	300 000		300 000	
Machinery (drills, IT equipment, sewing machines, etc.)	15 500	(i)	13 097	(1)
			313 097	
Current assets				
Inventory (paints, fabrics, wallpapers, soft furnishings, toiletries, etc.)		22 200		
Trade receivables		7 600		
Bank		3 200		
Cash		(ii)		(1)
		33 700		
Current liabilities				
Trade payables		4 300		
Tax		3 600		
		7 900		
Net current assets/liabilities			(iii)	(1)
Non-current liabilities				
Long-term borrowing			305 000	
Net assets			(iv)	(1)
Financed by				
Capital			(v)	(1)
Retained profit			21 897	
Capital employed			33 897	

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(b) Calculate the liquid capital ratio.

(3)

Show your workings.

(c) Kim has been told that property in the city has increased in value by a total of 8% since she bought her apartments in 2020. Calculate the new value of her non-current assets.

(2)

Show your workings.



(d) Kim thinks that her retained profit is lower than similar businesses in the city.

Discuss how Kim's retained profit could be increased in 2023.

(8)



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Kim has been using a marketing agency called *Butterfly*, which allows customers to book her apartments using the *Butterfly* app. Kim pays *Butterfly* 10% of the total booking price for providing this service.

Kim wants to develop her own *Kim's Castles* app. She estimates the cost of developing and maintaining her own app will be £10 000 in the first year.

Kim is considering two options to finance the *Kim's Castles* app:

Option 1: Retained profit

OR

Option 2: Sale of assets.

- (e) Evaluate whether Kim should use retained profit (Option 1) or sell some of her assets (Option 2) to pay for the development of the app.

(12)

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(Total for Question 11 = 30 marks)

TOTAL FOR SECTION B = 52 MARKS
TOTAL FOR PAPER = 80 MARKS



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Mark Scheme (Results)

June 2023

Pearson BTEC Nationals
In Business (31463H)
Unit 3: Personal and Business
Finance

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Alternatively, you can get in touch with us using the details on our contact us page at <http://qualifications.pearson.com/en/contact-us.html>

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You will need an Edexcel Online username and password to access this service.

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June 2023

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General marking guidance

- All learners must receive the same treatment. Examiners must mark the first learner in exactly the same way as they mark the last.
- Mark grids should be applied positively. Learners must be rewarded for what they have shown they can do rather than be penalised for omissions.
- Examiners should mark according to the mark grid, not according to their perception of where the grade boundaries may lie.
- All marks on the mark grid should be used appropriately.
- All the marks on the mark grid are designed to be awarded. Examiners should always award full marks if deserved. Examiners should also be prepared to award zero marks, if the learner's response is not rewardable according to the mark grid.
- Where judgement is required, a mark grid will provide the principles by which marks will be awarded.
- When examiners are in doubt regarding the application of the mark grid to a learner's response, a senior examiner should be consulted.

Specific marking guidance

The mark grids have been designed to assess learners' work holistically.

Rows in the grids identify the assessment focus/outcome being targeted. When using a mark grid, the 'best fit' approach should be used.

- Examiners should first make a holistic judgement on which band most closely matches the learner's response and place it within that band. Learners will be placed in the band that best describes their answer.
- The mark awarded within the band will be decided based on the quality of the answer in response to the assessment focus/outcome and will be modified according to how securely all bullet points are displayed at that band.
- Marks will be awarded towards the top or bottom of that band depending on how they have evidenced each of the descriptor bullet points.

Section A Personal Finance

Question number	Answer	Mark
1	Award 1 mark for each feature of an Individual Savings Account (ISA) up to a maximum of 2 marks. • No tax (paid on interest earned) • There is an annual maximum you can invest / currently £20 000 • You don't pay Capital gains tax • ISAs require you to keep your money in for a fixed period • There could be a penalty for withdrawing money early before the end of the term • Everyone in the UK aged 16 + gets an ISA allowance at the start of each Tax Year • Low risk/secure/safer Accept any other appropriate answer.	(2)

Question number	Answer	Mark
2	Award 1 mark for each advantage of setting personal financial targets and goals up to a maximum of 2 marks. • to avoid getting into debt • to control costs /control/monitor spending • avoid legal action and/or repossession • remain solvent / avoid bankruptcy • maintain a good credit rating • generate income and savings • provide insurance against loss or illness • more likely to save money • more likely to be financially stable • to manage money to fund purchases / make financial decisions Accept any other appropriate answer.	(2)

Question number	Answer	Mark
3	Award 1 mark for identification of an advantage of using a standing order and 1 mark for a linked development. • It's automatic (1) helps prevent late payments (1) • Likely to improve credit rating (1) as less missed payments • Consumer chooses the amount/date (1) more control over your money (1) • Quick and easy to set up/cancel (1) saves time/convenient (1) • It is a fixed sum (1) therefore easier to plan/budget (1) Accept any other appropriate answer. Do not accept "quick and easy" on its own.	(2)

Question number	Answer	Mark
4	Award 1 mark for identification of a disadvantage of using a payday loan to pay for a holiday and 1 mark for a linked development. • High rates of interest (1) outgoings/re-payments are higher / may get into unmanageable debt/insolvency (1) • Very short time to pay back the debt/high risk you can't pay (1) impact on credit score (1) • If you can't pay on time charges may then be added (1) increasing the debt (1) Accept any other appropriate answer.	(4)

Question number	Indicative content		Mark
5	Discuss whether Taylor should save her own money for the renovations or borrow from a bank. Advantages of borrowing from bank • She has no other debts apart from her mortgage • She plans to sell the flat in 2 years' time – with the renovations she could get the money back when she sells • She gets the money sooner than saving so has more time to renovate to a higher standard – property could then be worth more Disadvantages of borrowing from bank • Interest to pay which she wouldn't pay if she used her own savings • If the mortgage rate goes up she may struggle to pay the loan and the extra mortgage interest • It's another monthly outgoing and she will have lots of other costs as she has just moved into her first property Advantages of savings • No monthly repayments • No interest to pay on a debt • May earn interest on savings • She doesn't get into unmanageable debt Disadvantages of savings • May take many years to save the money for the renovations – bathrooms are expensive – won't get chance to enjoy living in a nicer property • By the time she has saved the money the cost of the renovation will most likely be higher than if she gets it done now – meaning she may not have enough money • No savings available for other things such as unexpected bills/holidays		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	

2	3-4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5-6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
6	Indicative content Westshire : • Lowest credit limit £500 • Lowest APR (interest) 18.9% • He won't be able to borrow as much but what he does borrow will be charged at a lower % than the other 3 options. • Second lowest interest free purchase period at 56 days meaning he only has the first 56 days to spend without being charged interest on those purchases- he likes to shop online so this is a disadvantage compared to Shirevale and the Royal bank which allow more days. • However, he gets more cashback on purchases at 2% - this is the highest of all the 4 cards. 4 times higher than Shirevale and double Ashridge. He likes to shop online – if he uses for all purchases and shopping can offset the APR which is already the lowest at 18.9% • Highest penalty for late payments at £12/day – could very quickly get into unmanageable debt e.g. one month of not repaying costs approx. £360 which would then be added to his debt. Ashridge: • Second highest credit limit - £1000 – therefore more money for emergencies – less worry about affording other bills e.g. rent • Second lowest APR at 21.9% • Lowest interest free purchase period 30 days • Second lowest cash back on purchases at 1% so less to offset the APR than Westshire with 2% cash back • However penalty for late payments only £5/day - £7 lower than Westshire- over a month (30 days) £150 - £220 less than Westshire – less chance of mounting debt Shirevale: • Second lowest credit limit at £750 therefore less available for emergencies – however less temptation to use the card and get into debt • 2nd highest APR at 22% - 3.1% higher than Westshire on £750 over a year this is an extra £23.25 more than Westshire and £165 overall. • 2nd highest days for interest free purchases at 60 • Lowest cash back on purchases at 0.5% so less to offset the high APR • No charge for the first 3 days if he misses payment – therefore if he forgets he isn't penalised immediately – however goes up to £10 after this – debt could mount quickly – 30 days will cost £300 in extra debt • Royal Bank: • Highest credit limit at £2000 – biggest amount to fall back on and to enjoy student life • Highest APR 26% - if uses the full £2000 costs £520 which is added to debt – could become unmanageable – particularly as most students have very little disposable income • However highest interest free purchase period 90 days – could help to buy books and set up home without worrying about adding to debt • 2nd highest cash back 1.5% - offsets APR • Penalty for late payments could be cheapest depending on balance – APR rises to 29.9% from 26% which was already the highest. However even if he has max debt of £2000 this would cost £78 over the year – 21p /day - cheapest	(12)

Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and
4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

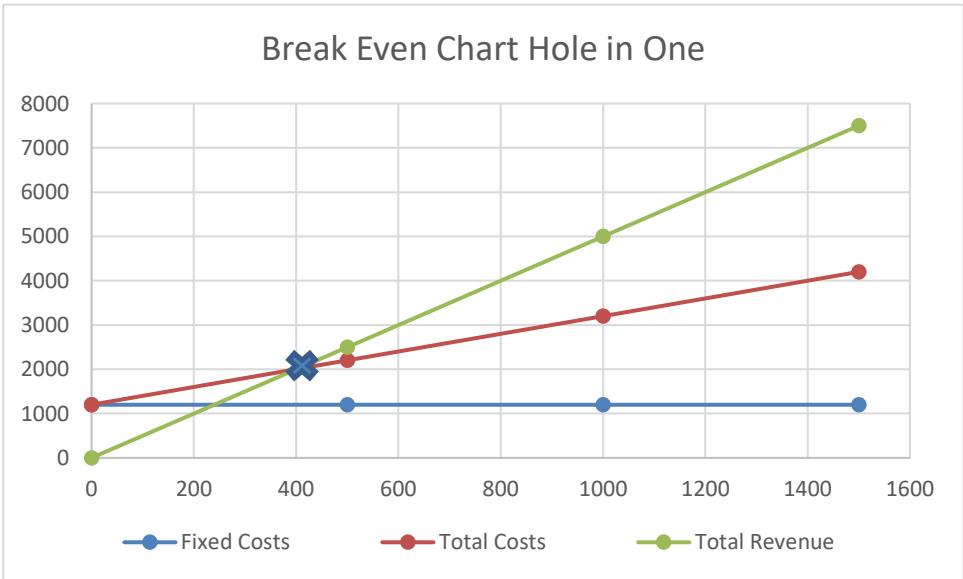
Section B Business Finance

Question number	Answer	Mark
7	Award 1 mark for each item of Revenue Income identified, up to a maximum of 2 marks. • Cash sales • Credit sales • Rent received • Commission received • Interest received • Discount received Award a maximum of 1 mark for sales where the learner has not specified whether it is cash or credit. Accept any other appropriate answer	(2)

Question number	Answer	Mark
8	Award 1 mark for identification of why a business might calculate it's Margin of Safety and 1 mark for a linked development. • Helps the business to forecast the amount the estimated sales can fall (1) before a loss is made/the business breaks even (1) • The calculation helps a business gauge the level of risk (1) when launching a new venture/so that they can decide if the venture is too risky (1) Accept any other appropriate answer	(2)

Question number	Answer	Mark
9	Award 1 mark for each outflow identified, up to a maximum of 2 marks. • Cash purchases • Credit purchases • Rent • Rates • Salaries • Wages • Utilities (electricity, water, internet etc.) • Purchase of assets • Value Added Tax (VAT) • Interest (paid) • Loan (repayments) • Inventory/stock Award 1 mark for purchases where the learner has not used cash purchases or credit purchases. Accept any other appropriate answer.	(2)

Question number	Answer					Mark
10 (a)	Award 1 mark for each correct answer up to a total of 2 marks.					(2)
	Quantity	0	500	1000	1500	
	Fixed Costs (£)	1 200	1 200	1 200	1 200	
	Total Variable Costs (£)	0	1 000	2 000	(ii) 3 000	
	Total Costs (£)	1 200	2 200	3 200	4 200	
	Total Revenue (£)	0	(i) 2 500	5 000	7 500	

Question number	Answer	Mark
10 (b)	Award 1 mark for correctly plotting and labelling each of the following: • Total Revenue/TR/Revenue/Sales (1) • Fixed Costs/FC (1) • Total Costs/TC (1) • Break Even Point/BE/BEP (ECF) (1) ✖ ECF will be applied where the learner has incorrectly plotted TR and/or TC line and identified where they intersect and labeled this BEP. Use overlay in EPEN2 	(4)

Question number	Answer	Mark
10 (c)	Award 4 marks for the correct answer. • 450 OR Award 3 marks for the correct formula in numbers • $1\,350 / 3$ • $1\,350 / 5 - 2$ OR Award 1 mark for formula in words • Break Even = Fixed Cost / (Selling price per unit – Variable cost per unit) • Break Even = Fixed Cost / Contribution per unit AND Award 1 mark for calculation of new fixed costs • £1 350 Accept figures without £ sign Accept abbreviations in formula such as FC, SP, VC	(4)

Question number	Indicative content		Mark
10 (d)	Benefits and drawbacks of using Break Even Analysis Benefits - The business can use it to model the impact of different selling prices/costs on BEP and so potential profit - As it's a forecast it allows the business to predict the likely profit /loss - Ensures the business considers all its costs - It's a feasibility study /reality check to consider whether it is possible to successfully launch the new product - The business can estimate the risk as it allows you to also consider Margin of Safety Drawbacks - It's an estimate – may not be reliable - Doesn't take into account competitor reactions - It's only as good as the person who prepares it he may wrongly estimate costs - Doesn't take into account any changes to the external environment e.g. Inflation, incomes, consumer preferences/uptake - Only considers financial factors – Price and cost - Information on predicted sales may be limited and lead to errors Any other appropriate response		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	- Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. - Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. - Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	
2	3–4	- Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. - Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. - Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.	

3	5-6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.
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Question number	Answer	Mark
11(a)	Allocate marks as indicated in the table.	(5)

Statement of Financial Position:

	Cost	Accumulated Depreciation	Net Book Value
	£	£	£
Non current assets			
Property	300 000		300 000
Machinery	15 500	(i)2 403	13 097
			313 097
Current assets			
Inventory		22 200	
Trade receivables		7 600	
Bank		3 200	
Cash		(ii)700	
		33 700	
Current liabilities			
Trade payables		4 300	
Tax		3 600	
		7 900	
Net current assets/liabilities			(iii)25 800
Non current liabilities			
Long term borrowing			305 000
Net Assets			(iv)33 897
Financed by			
Capital			(v)12 000
Retained profit			21 897
Capital employed			33 897

Question number	Answer	Mark
11 (b)	Award 3 marks for the correct answer of 1.46 Accept any response that is more accurate in terms of decimal places e.g. 1.455 also accept 1.5 OR Award 1 mark for formula in words Liquid Capital ratio = $\frac{(\text{current assets} - \text{inventory})}{\text{current liabilities}}$ OR 1 mark for formula in numbers 11 500 / 7 900 OR (33 700 – 22 200) / 7900 AND 1 mark for correctly calculating: current assets – inventory as £11 500 Learners must not be awarded full marks unless they have the correct answer	(3)

Question number	Answer	Mark
11 (c)	Award 2 marks for the correct answer of £337 097 Accept answer with or without £ sign. OR Award 1 mark for correct calculation of the increase in value of £24 000	(2)

Question number	Answer	Mark
11 (d)	How could retained profit be increased in 2023 Indicative content: Increasing Revenue • Strategies to increase sales – marketing, advertising, promotion e.g. loyalty card, new website, targeting different segments / markets /older/younger • Strategies to increase revenue per room or increasing spend per customer – such as buying add-ons e.g. welcome basket - consider impact of increasing selling price on level of sales • Strategies to increase total revenue e.g. discounts for long stays may increase occupancy rates Reducing Costs • Strategies to reduce cost of sales e.g. buying cheaper raw materials, paint, cushions etc. reduce wage bill, find a cheaper app to use than Butterfly – consider impact of doing each of these – e.g. lower quality rooms and prices Reduce expenses • Lower expenses by introducing more cost effective methods of Advertising and promotion – examples specific to Kim’s Castles – consider impact on profit of spending on advertising and promotion • Strategies to reduce other expenses - reducing utility bills, wages, rent or mortgage, utilities – specific examples such as low energy lightbulbs, insurance Management strategies • Introducing financial monitoring and setting targets for costs and revenue – setting budgets to avoid excessive costs, paying off debt therefore reducing liabilities e.g. she has £305000 long term liabilities. If learners give balanced discussion or balanced analysis reward at Level 3	(8)

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1-3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4-6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7-8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
11 (e)	Indicative content: Pay for new app using retained profit or sale of assets Argument for Option 1 retained profit • Retained profit is £21 897 – so can pay for the app outright and still have profit left for other things • She doesn't have to repay the money - no monthly bill and no interest which reduces profit • Keeps all her assets which she uses in the business e.g. IT equipment, drills and sewing machines etc so still has them available to use whenever she needs them • No upfront cost / deposit or fees for fixing or organising a loan • She doesn't give away ownership as she might if she raised money by changing the ownership status of the business and selling shares, or using a venture capitalist so retains full control Arguments against • She can't use the money for other things e.g. buy other properties and help the business to grow • She isn't getting the rewards for all her hard work may lose motivation Argument for Option 2 sale of assets • Machinery is currently worth £13 097 therefore she is likely to be able to raise all the money she needs from doing this • Won't appear as depreciation on Statement of comprehensive income – benefit to profit • Won't have to pay for maintenance costs • If she rents machinery when she needs it she can access the latest models and technology which may be an advantage • Kim will keep ownership and control of the business Arguments against • Might not get all the money as may not be able to sell second hand equipment for as much as NBV • Cost of payments to hire machines when needed may lead to lower profits • She will not have the machinery she needs to run the business / might not be available to hire when she needs it to complete renovations and maintenance – could delay projects which incurs costs • She could reduce her inventory – currently £22 200 tied up in inventory e.g. wallpaper, paint and toiletries for the apartments – may run out of necessary items if stock held is too low – unsatisfied customers and delays to completing projects which incurs costs	(12)

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1-3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity
Level 2	4-6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7-9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10-12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.



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Candidate surname					Other names				
Centre Number					Learner Registration Number				

Pearson BTEC Level 3 Nationals Certificate, Extended Certificate, Foundation Diploma, Diploma, Extended Diploma

Time 2 hours	Paper reference 31463H
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Business/Enterprise and Entrepreneurship

UNIT 3: Personal and Business Finance

You must have: Calculator	Total Marks
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Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your calculations and show the steps you have used.

Turn over ►

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SECTION A – Personal Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend 45 minutes on this section.

1 Give **two** functions of money.

1

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2

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(Total for Question 1 = 2 marks)

2 Give **two** advantages for a consumer of paying for purchases using a contactless card.

1

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2

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(Total for Question 2 = 2 marks)

3 Explain **one** advantage for the consumer of using a cheque to buy goods.

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(Total for Question 3 = 2 marks)

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4 Explain **two** advantages of using hire purchase to buy a car.

1

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2

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(Total for Question 4 = 4 marks)



Morgan is 23 years old and has a credit card balance of £2 000 at 19.9% APR. He also has £1 000 left to pay on his car loan over the next 12 months at 7% APR. Morgan is considering transferring all of his current debts onto a new credit card. He has been offered a new credit card at 0% interest for the first 12 months, increasing to 29.9% on any outstanding balance after the 12 month period.

- 5 Discuss whether Morgan should transfer his debt onto the new credit card offering 0% interest for 12 months.

(6)



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(Total for Question 5 = 6 marks)



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Takudzwa is planning to use all his savings to buy a camper van. He is going to use the camper van to take his two children on outdoor adventure holidays across Europe. Takudzwa's family enjoys diving, kayaking and rock climbing. They each have a kayak worth £400 and a mobile phone worth £300. Takudzwa has been advised by a friend to consider taking out a travel insurance policy that includes European Travel. The policy would help cover the costs of cancellation, theft from the camper van and medical expenses.

Takudzwa has researched the following insurance products.

Insurance provider	Annual cost	Cover for lost or stolen items or cash	Cover for medical expenses	Emergency cancellation or missed departure cover
Ashridge Insurance	£262	£1 000 with a maximum claim limit of £200 in cash	Up to £2m	NO
Shirevale Insurance	£400	£2 500 with no limit for cash within the £2 500	Up to £3m	YES up to £2 000
The Royal Insurance	£375	£3 000 with a maximum claim limit of £300 in cash	Up to £8m	NO
Westshire Insurance	£545	£5 000 with a maximum claim limit of £1 000 in cash	Up to £10m	YES up to £5 000



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6 Evaluate which insurance product would be the best for Takudzwa to purchase.

(12)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 28 MARKS



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SECTION B – Business Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend 75 minutes on this section.

7 State **two** types of revenue expenditure.

1

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2

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(Total for Question 7 = 2 marks)

8 Explain what is meant by the term **credit purchase**.

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(Total for Question 8 = 2 marks)

9 Explain **one** advantage of using break-even analysis when planning a new product launch.

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(Total for Question 9 = 2 marks)

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Ruby owns a business called *Training Treats*. Her business makes and sells high quality pet treats suitable for all breeds of cat and dog.

All of *Training Treats* credit sales are for 30 days' credit.

Ruby has produced a Cash Flow Forecast.

10 (a) Complete the Cash Flow Forecast for the six months ending 31 December 2023.

(6)

Cash Flow Forecast for *Training Treats* for the six months ending 31 December 2023

	July	Aug	Sept	Oct	Nov	Dec
Opening balance	2 300	(iii)	2 592	1 183	2 318	57
Inflows						
Credit sales	44 345	40 765	35 555	34 005	40 345	52 656
Cash sales	13 304	12 230	10 667	10 202	12 104	15 797
Total inflows	57 649	52 995	46 222	44 207	52 449	68 453
Outflows						
Cash purchases	43 236	39 746	34 666	33 155	39 336	51 340
Advertising	7 949	6 933	6 631	7 867	10 268	10 800
Other expenses	6 099	6 389	6 334	2 050	5 106	5 003
Total outflows	(i)	53 068	47 631	43 072	54 710	67 143
Net cash flow	365	(iv)	(1 409)	1 135	(v)	1 310
Closing balance	(ii)	2 592	1 183	2 318	57	(vi)



Ruby wants to buy a new packaging machine so that she can increase the output of her factory by speeding up production. The new machine will cost £2 300 that she will pay in September.

- (b) Calculate the new closing balance for September if Ruby purchases the new machine.

(1)

Closing balance for September:

- (c) Give **two** possible ways Ruby could improve the closing balance in her Cash Flow Forecast.

(2)

- 1
- 2



Ruby has an overdraft facility with her bank that charges her interest of 30% pa on outstanding balances. Ruby thinks she may have to use her overdraft if she buys the new £2 300 machine. Ruby hopes the new machine will improve the production efficiency of the business.

- (d) Discuss the benefits and limitations for *Training Treats* of using a Cash Flow Forecast.

(6)

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(Total for Question 10 = 15 marks)



Jisoo runs a business called *The Circle* that sells redesigned and recycled retro clothing both online and through a small shop. She buys clothing in bulk by weight.

Jisoo has two sewing machines that originally cost a total of £3 250 when she purchased them on 1 January 2021. She has decided to depreciate all of her non-current assets by 10% using the reducing balance method.

By doing more of the alterations work herself Jisoo has reduced her wage bill by £3 000 in 2022.

She has given you the following two incomplete extracts from the last two statements of comprehensive income.

11 (a) Complete the statement of comprehensive income for *The Circle* by calculating:

- (i) Purchases for 2021
- (ii) Depreciation of the sewing machines for 2021
- (iii) Total expenses for 2021
- (iv) Opening inventory for 2022
- (v) Wages for 2022
- (vi) Total expenses for 2022
- (vii) Net profit before tax for 2022



The Circle

Statement of comprehensive income for the years ending 31 December 2021 and 2022

	2021	2022	
Sales revenue	64 500	48 760	
Opening inventory	13 245	(iv)	(1)
Purchases	(i)	32 074	(1)
Closing inventory	17 040	26 719	
Cost of goods sold	24 395	22 395	
Gross profit	40 105	26 365	
Expenses			
Wages	18 625	(v)	(1)
Depreciation of sewing machines	(ii)	292.5	(1)
Telephone and postage	1 235	987	
Rent and utilities	2 450	2 245	
Total expenses	(iii)	(vi)	(1) (1)
Profit for the year before tax	17 470	(vii)	(1)

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(b) Calculate the difference in the gross profit margin between 2021 and 2022.

(4)

Show your workings.

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- (c) Using the information in **11(a)**, analyse how the profit for the year before tax could be increased in 2023.

(8)



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Jisoo wants to expand the online side of her business by moving her production facilities to a £150 000 unit in a Local Enterprise Partnership area that is supported by the UK Government. There are government grants available of between £10 000 and £500 000. The government allocates larger grants to businesses that agree to take workers who have been on the unemployment register for more than six months.

Jisoo is considering two options to finance this move.

Option 1 Applying for a grant from a Local Enterprise Partnership

or

Option 2 Taking out a £150 000 mortgage at a variable interest rate of 6.9% pa repaid over 25 years

(d) Evaluate whether Jisoo should apply for a grant (Option 1) or take out a mortgage (Option 2) to pay for the unit.

(12)

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(Total for Question 11 = 31 marks)

TOTAL FOR SECTION B = 52 MARKS

TOTAL FOR PAPER = 80 MARKS





Mark Scheme (Results)

Januray 2023

Pearson BTEC Nationals in Business
Unit 3 Personal and Business Finance (31463H)

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January 2023

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Section A Personal Finance

Question number	Answer	Mark
1	Award 1 mark for each function of money up to a maximum of 2 marks. • Unit of account • Means of exchange / to facilitate buying and selling • Store of value / unit or measure of value / can be used to save up • Legal tender Accept any other appropriate answer.	(2)

Question number	Answer	Mark
2	Award 1 mark for each advantage of paying for purchases using a contactless card up to a maximum of 2 marks. • You don't need to remember / enter a pin number (1) • It is quicker/saves time/more convenient (1) • Less likely to lose your card as you won't leave it in the card reader (1) Accept any other appropriate answer.	(2)

Question number	Answer	Mark
3	Award 1 mark for identification of an advantage for the consumer of using a cheque to buy goods (1) and 1 mark for a linked development. • Money stays in your account for longer (1) as cheques can take several days to clear (1) • You don't need access to the internet (1) meaning you can buy goods even if there is no internet access (1) • If a cheque gets lost or stolen it can be cancelled (1) meaning that no money is lost unlike cash (1) • More secure (1) therefore less chance of fraud/ don't need to carry cash (1) • There is no limit to how much you can write a cheque for (1) this makes buying higher value goods easier (1) Accept any other appropriate answer.	(2)

Question number	Answer	Mark
4	Award 1 mark for identification of each advantage up to a max of 2 marks /advantages (must be specific to using hire purchase to buy a car) (1) and 1 mark for a development linked to each advantage. • Low deposit (1) you can get the car quicker as you don't need to save up (1) • Can be lower interest than other funding options such as bank loans (1) save money/cheaper (1) • They will own the asset after the final installment (1) therefore better than lease as if they keep no monthly repayments • Cost of borrowing is spread (1) making it more affordable (1) • Payments are fixed (1) making it easier to budget/manage cash flow (1) • They may be able to buy a newer/better car (1) as can often borrow more on hp than they could access through a personal loan (1) • Accept any other appropriate answer.	(4)

Question number	Indicative content		Mark
5	Debts currently: Car £1000 over 1 year @ 7% £89.17/month – total repayable £1 070 – interest costs him £70 Credit card: £2000 @ 19.9% = £398 interest per year if he makes monthly repayments of £199.83 per month to clear the debt - £2398 total repayable He would have to pay £250.00 /month to clear the debt in 12 months with the 0% credit card Advantages of consolidating debt onto single 0% credit card No interest to pay for 12 months Could be debt free in 12 months time Current debts will stop growing as no interest added each month Could prevent him from spiraling into uncontrollable debt May lead to him having better control of his money Not wasting his money on interest Would be paying £250 per month rather than £289 per month Could help improve credit score as more likely to be able to afford the repayments and less likely to miss payments Could help improve credit score Disadvantages May end up with an outstanding balance at end of 12 months if he doesn't pay off all of his debt – then charged 29.9% on the balance Because he is young he may just spend the money he will be saving on luxury items which will not benefit his finances in the long term Could lead to higher future debts if still has a balance at end of 12 months when interest rate goes up to 29.9%. If he cannot afford the monthly repayments this will negatively impact his credit score.		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.	

3	5-6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.
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Question number	Indicative content	Mark
6	Indicative content Application: Equipment and technology for the family totals £2 100, cover for lost or stolen items must cover this but does not need to be a lot more than this Takudzwa has used all of his savings to buy the campervan meaning he will not have a lot left to pay the annual cost The activity holiday carries a high level of risk making medical cover important Westshire is the most expensive and covers emergency cancellation and missed departure up to the highest value. It is the best for both medical expenses cover and cover for lost or stolen baggage. As his family are very active and travel with expensive technology this is important . Also, their equipment and technology total £2 100 which leaves £2 900 for baggage and cash– they may not need this extra level of cover. Also there is a £1000 limit on cash claims. Shirevale is £145 cheaper than Westshire with less cover for emergency cancellation and medical but pays out up to £2500 for cash losses. Cover for medical expenses are £7 million lower than Westshire and £5 million lower than The Royal which is £25 cheaper. However at £2 500 cover for lost/stolen items it will cover their £2 100 worth of equipment. The Royal is the second cheapest. However, there is no cover for cancellation or missed departure and the maximum claim for lost cash is £300. However it will cover their equipment as it covers £3 000. Ashridge Insurance is the cheapest insurance. However, there is no cover for cancellation or missed departure, very little cover for lost or stolen baggage and only £2 million to cover medical for his entire family, However, Takudzwa may feel this is enough to cover his financial needs.	(12)
Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels–based mark schemes
	0	No rewardable material.

1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

Section B Business Finance

Question number	Answer	Mark
7	Award 1 mark for each item of Revenue expenditure identified, up to a maximum of 2 marks. • Inventory / stock / raw materials • rent • rates / council tax • heating and lighting • water • insurance • administration • telephone • postage • stationery • salaries • wages / paying employees • marketing / advertising / promotions • bank charges • interest paid • straight-line depreciation • reducing balance depreciation • discount allowed Accept any other derived from the list e.g heating and lighting could be utilities or electricity.	(2)

Question number	Answer	Mark
8	Award 1 mark for identification of credit purchase (1) and 1 mark for a linked development. • Pay later / delaying payment (1) for goods received / ordered / bought (1) e.g. Buy now pay later would get 2 marks Accept any other appropriate answer.	(2)

Question number	Answer	Mark
9	Award 1 mark for identifying advantage of using break even analysis when planning a new product launch (1) and 1 mark for a linked development. • It shows whether a product is worth launching (1) therefore stops businesses wasting time / losing money (1) • It estimates how many of the new products a business needs to sell before they break even / make a profit / make a loss (1) helps businesses decide if it is a realistic proposal (model "<i>what if</i>" scenarios (1) • It shows the amount of revenue a business makes at each level of output (1) helps to set prices / helps them to manage costs (1) • It allows you to calculate your margin of safety (1) which means you can estimate your level of risk / how much sales can fall without making a loss (1) Accept any other appropriate answer.	(2)

Question number	Answer	Mark																																																																																																																							
10 (a)	Award 1 mark for each correct answer up to a total of 6 marks. Cash Flow Forecast for Training Treats for the six months ended 31st December 2023 <table><tr><th></th><th>July</th><th>Aug</th><th>Sept</th><th>Oct</th><th>Nov</th><th>Dec</th></tr><tr><td>Opening Balance</td><td>2 300</td><td>(iii)2 665 (ECF)</td><td>2 592</td><td>1 183</td><td>2 318</td><td>57</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Inflows</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Credit sales</td><td>44 345</td><td>40 765</td><td>35 555</td><td>34 005</td><td>40 345</td><td>52 656</td></tr><tr><td>Cash sales</td><td>13 304</td><td>12 230</td><td>10 667</td><td>10 202</td><td>12 104</td><td>15 797</td></tr><tr><td>Total inflows</td><td>57 649</td><td>52 995</td><td>46 222</td><td>44 207</td><td>52 449</td><td>68 453</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Outflows</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Cash purchases</td><td>43 236</td><td>39 746</td><td>34 666</td><td>33 155</td><td>39 336</td><td>51 340</td></tr><tr><td>Advertising</td><td>7 949</td><td>6 933</td><td>6 631</td><td>7 867</td><td>10 268</td><td>10 800</td></tr><tr><td>Other expenses</td><td>6 099</td><td>6 389</td><td>6 334</td><td>2 050</td><td>5 106</td><td>5 003</td></tr><tr><td>Total outflows</td><td>(i) 57 284</td><td>53 068</td><td>47 631</td><td>43 072</td><td>54 710</td><td>67 143</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Net Cash Flow</td><td>365</td><td>(iv) (73)</td><td>(1 409)</td><td>1 135</td><td>(v)(2 261)</td><td>1 310</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Closing Balance</td><td>(ii)2 665 (ECF)</td><td>2 592</td><td>1 183</td><td>2 318</td><td>57</td><td>(vi)1 367</td></tr></table> Allow ECF for (ii) (iii). Accept either minus sign or brackets for negative numbers.		July	Aug	Sept	Oct	Nov	Dec	Opening Balance	2 300	(iii)2 665 (ECF)	2 592	1 183	2 318	57								Inflows							Credit sales	44 345	40 765	35 555	34 005	40 345	52 656	Cash sales	13 304	12 230	10 667	10 202	12 104	15 797	Total inflows	57 649	52 995	46 222	44 207	52 449	68 453								Outflows							Cash purchases	43 236	39 746	34 666	33 155	39 336	51 340	Advertising	7 949	6 933	6 631	7 867	10 268	10 800	Other expenses	6 099	6 389	6 334	2 050	5 106	5 003	Total outflows	(i) 57 284	53 068	47 631	43 072	54 710	67 143								Net Cash Flow	365	(iv) (73)	(1 409)	1 135	(v)(2 261)	1 310								Closing Balance	(ii)2 665 (ECF)	2 592	1 183	2 318	57	(vi)1 367	(6)
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Closing Balance	(ii)2 665 (ECF)	2 592	1 183	2 318	57	(vi)1 367																																																																																																																			

Question number	Answer	Mark
10 (b)	Award 1 mark for either of the following: Closing Balance for September is: (£1117) – with or without £	(1)
Question number	Answer	Mark
10 (c)	Award 1 mark for identification of each correct way of improving closing balance (1) up to a maximum of 2 marks. • increase sales (cash or credit) (1) • increasing selling price (1) • getting more outlets to supply her treats (1) • sell directly to public online (1) • decrease outflows (1) • increase inflows (1) • spending less on advertising (1) • buying cheaper raw materials / ingredients/packaging etc (1) • reduce cash purchases from suppliers (1) • improve net cash flow (1) Accept any other appropriate response in the context of Training Treats	(2)

Question number	Indicative content		Mark
10 (d)	Cash Flow Forecast Benefits She can use it to model whether she needs to take out a loan or use her overdraft She can spot cash shortages before they affect the business – she can look at the impact of purchasing the new machine and see if she can afford it As it's a forecast it allows business to make changes - increase inflows or decrease outflows - to prevent shortage of cash – she will need to estimate how many extra packs of dog treats she can sell and by using a cash flow forecast she will then be able to calculate whether the extra inflows from these sales will cover the cost of the machine Ensures the business considers all its costs It's a reality check to consider future feasibility of the business/project – helps her to decide whether to buy the machine or not Limitations It's an estimate – not reliable Doesn't take into account competitor reactions It's only as good as the person who does the forecast – we don't know how much experience Ruby has in business – for example she may wrongly estimate how many extra packs of treats she will sell meaning incorrect inflows Information on predicted sales may be limited and lead to errors No one can accurately predict the future – changes in external environment may lead to inaccurate income or outflows figures Note Undeveloped assertions such as expensive or takes time should not be rewarded without reference to the case study or other developments as it's too generic e.g. could apply to other business concepts		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.	

3	5-6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.
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Question number	Answer	Mark
11(a)	Allocate marks as indicated in the table.	(7)

The Circle
Statement of comprehensive income for the years ending
31st December 2021 and 2022

	2021	2022
Sales revenue	64 500	48 760
Cost of sales		
Opening inventory	13 245	(iv) 17 040
Purchases	(i) 28 190	32 074
Closing inventory	17 040	26 719
	24 395	22 395
Gross profit	40 105	26 365
Expenses		
Wages	18 625	(v) 15 625
Depreciation of sewing machines	(ii) 325	292.50
Telephone and postage	1 235	987
Utilities	2 450	2 245
Total expenses	(iii) 22 635 (ECF)	(vi) 19 149.50 (ECF)
Profit for the year before tax	17 470	(vii) 7 215.50 (ECF)

	ECF for iii and vi and vii This question must not be set up as different parts on Epen – mark as one question. Roman numerals are there to guide candidates.	
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January 2023

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Question number	Answer	Mark
11 (b)	Award 4 marks for the correct answer with or without %, learners do not need to state that this is lower or less or need to use minus sign: 8.11% 8.1% 8% Accept any response that is more accurate in terms of decimal places. OR 1 mark for correct Gross Profit % for 2021 of 62.18% also accept 62.2% and 62% AND 1 mark for correct Gross Profit % for 2022 of 54.07% also accept 54.1% and 54% AND Award 1 mark for formula in words Gross Profit margin = Gross Profit / Revenue x 100 OR Gross Profit margin = Gross Profit / Sales Revenue x 100 OR GPM = GP / SR x 100 (accept all other accurate formula – must include x 100) Note: Allow answers with or without % sign.	(4)

Question number	Answer	Mark
11 (c)	Analyse how the Profit for the year before tax for the year could be increased in 2023 Indicative content: Sales revenue fallen from £64 500 to £48 760 Gross profit fallen from £40 105 to £26 365 (8.1%) Total expenses have fallen from £22 635 to £19 149.5 Profit for the year before tax fallen £17 470 to £7 215.5 (58.7%) Increase sales /sales revenue: • Strategies to help sell more goods – expansion - new shop, new website, targeting different segments / older/younger / male / female / etc • Strategies to increase sales – marketing, advertising, promotion e.g. loyalty card or trade in schemes similar to M&S Lets Shwop • Strategies to increase revenue per item or increasing spend per customer – such as increased selling prices e.g. focus on selling higher value items such as coats or designer labels, sell add ons such as bags, shoes, scarves etc - consider impact of increasing selling price on level of sales • Develop awareness of their USP – recycling green credentials etc – use this to gain PR opportunities Reduce expenses : • Lower costs by introducing more cost effective methods of Advertising and promotion e.g. more effective use of social media/influencers etc – examples specific to The Circle – consider impact on profit of spending on advertising and promotion • Lower costs by moving to cheaper premises or methods of reducing utility bills, wages, postage, rent, utilities – specific examples such as low energy lightbulbs, trade only online to avoid rent , utilities, insurance and wages • Reduce raw material costs e.g. encouraging clothing recycling schemes from customers, cheaper cotton, zip, buttons, packaging materials etc	(8)

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
1 (d)	Indicative content: Argument for Option 1 Grant You don't have to repay the money No upfront cost / deposit If the expansion doesn't work out then she has not lost any of her own money The Government gives Grants up to £500 000 so it is possible that she may be able to get even more money than the £150 000 for the unit and develop her business more quickly She doesn't give away ownership as she might if she raised money by changing the ownership status of the business and selling shares, so retains full control Laundry and pressing are low skilled roles which she may be able to fill using local people unemployed for more than six months which means she can qualify for a higher level of grant Arguments against Jisoo may not get a grant for the full amount It may take time to apply and be accepted She may not qualify for the grant There may be other terms and conditions applied to the grant linked to evidence of sustainability or stipulating who she must employ e.g. people who have been unemployed for more than six months – these people may not have the necessary skills or aptitude for Jisoo's business and could have an impact on productive efficiency – she may not be able to use unskilled staff for alterations without having to spend time and money on training. She may find it difficult to expand outside of the designated development area Argument for Option 2 Mortgage Jisoo will keep ownership and control of the business She will be able to get all the money Once approved she can move straight in She can pay the loan over a long period of time – 25 years - benefiting cash flow Usually lower interest rates than other types of borrowing such as loans Paying on time improved credit rating Arguments against Interest payments leading to lower profits Monthly repayments can be large and lead to cash flow problems Bank may be unwilling to lend the full amount unless Jisoo has a deposit Very time consuming to apply Banks only lend if you can show consistent profit Interest is charged at a variable rate which means that it makes it more difficult to budget and if the rate goes up significantly she may not be able to afford the repayments. Interest in year 1 £150 000 at 6.9% = £10 350 interest only and	(12)

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.



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Please check the examination details below before entering your candidate information

Candidate surname						Other names					
Centre Number						Learner Registration Number					

**Pearson BTEC Level 3 Nationals Extended Certificate,
Foundation Diploma, Diploma, Extended Diploma**

Time 2 hours

Paper reference	31463H
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**Business/Enterprise and
Entrepreneurship**

UNIT 3: Personal and Business Finance

You must have: Calculator	Total Marks
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Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your calculations and show the steps you have used.

Turn over ►

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SECTION A – Personal Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 45 minutes on this section.

- 1 Give **two** advantages of using a price comparison website when choosing a savings account.

1

.....

2

.....

(Total for Question 1 = 2 marks)

- 2 State **two** reasons why an individual should consider their expenditure when planning their personal finances.

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(Total for Question 2 = 2 marks)

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3 Explain **one** disadvantage for a consumer of using cash as a method of payment.

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(Total for Question 3 = 2 marks)

4 Explain **two** advantages for a consumer of using an overdraft to borrow money.

1

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2

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(Total for Question 4 = 4 marks)



Luz is getting married this autumn. She has a £110 000 mortgage on a fixed interest rate with 24 years left. She has £15 000 savings invested in a cash ISA, which earns 2.0% interest. However, she has been advised that the interest rate on the ISA will be reduced to 1.25% next month and will be 0.5% lower than interest paid on her mortgage borrowing.

Luz's friend has suggested that now the ISA interest rate is reducing Luz should use her savings to pay £10 000 off her mortgage borrowing, which the terms of her mortgage allow.

- 5** Discuss the potential advantages and disadvantages for Luz of using her savings to reduce her mortgage borrowing.

(6)

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(Total for Question 5 = 6 marks)



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- 6** Simon is about to move out of his parents' home and rent his first flat. Simon's hobbies include competitive mountain biking and he plans to join a local cycling club. He has a mountain bike worth £2 500.

Simon needs to buy contents insurance to protect his belongings and has researched four different insurance providers. The information is shown in the table below.

	Annual premium	Compulsory excess*	Amount of cover	High value item cover
Ashridge	£270	£50	£25 000	Yes – up to original purchase cost
Shirevale	£160	£100	£20 000	Yes – up to £500
The Royal Insurance	£200	£50	£17 500	No
Westshire	£230	£125	Unlimited	Yes – up to £2 000

* Compulsory excess is the amount Simon must pay to the insurance company in the event of a claim.

Evaluate which contents insurance provider would be most suitable for Simon.

(12)



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 28 MARKS



SECTION B – Business Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 75 minutes on this section.

7 Give **two** types of capital income.

1

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2

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(Total for Question 7 = 2 marks)

8 Explain **one** way that a cash flow forecast may be used by a business.

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(Total for Question 8 = 2 marks)

9 Explain **one** effect of 'amortisation' on the final accounts of a business.

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(Total for Question 9 = 2 marks)

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Emilia is planning to sell a new range of organic ice creams from a dedicated outdoor stall. The ice creams will include one scoop of ice cream served in a waffle cone. She will rent the space for the stall from another local business. She has produced the following information:

Selling price per unit	£2.75
Cost of cone per unit	30p
Cost of ice cream per unit	80p
Number of units to break-even	6 500

- 10 (a) Calculate the annual fixed costs to operate the ice cream stall.

(3)

Show your workings.

Emilia carries out some market research and discovers that several competing products are sold at a higher price of £3.50

- (b) Calculate the **change** in the break-even point if Emilia increases her selling price to £3.50

(3)

Show your workings.



P 6 9 0 6 0 A 0 1 3 2 8

Emilia's market research suggests that she will sell 5 000 ice creams each year at the increased price of £3.50

- (c) Calculate the margin of safety for the year based on the increased price of £3.50 per ice cream.

(2)

Show your workings.

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(d) Analyse whether increasing the price of the ice creams will increase the profit made by Emilia's business.

(8)

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(Total for Question 10 = 16 marks)



Jalen runs a small business called *Vetropak* that produces packaging for the food industry. He has given you the following financial information, which is incomplete.

11 (a) Complete the statement of financial position for *Vetropak* by calculating:

- (i) Accumulated depreciation of machinery
- (ii) Trade receivables
- (iii) Short-term bank loan
- (iv) Net current assets/liabilities
- (v) Long-term bank loan
- (vi) Retained profit
- (vii) Capital employed.

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Vetropak**Statement of financial position as at 31 December 2021**

	Cost	Accumulated depreciation	Net book value	
	£	£	£	
Non-current assets				
Machinery	358 000	(i)	329 027	(1)
			329 027	
Current assets				
Inventory		25 897		
Trade receivables		(ii)		(1)
Bank		2 569		
Cash		278		
		39 373		
Current liabilities				
Trade payables		17 435		
Short-term bank loan		(iii)		(1)
		27 189		
Net current assets/liabilities			(iv)	(1)
Non-current liabilities				
Long-term bank loan			(v)	(1)
Net assets			321 211	
Financed by				
Capital			276 300	
Retained profit			(vi)	(1)
Capital employed			(vii)	(1)



P 6 9 0 6 0 A 0 1 9 2 8

Jalen's accountant has identified two omissions from *Vetropak's* statement of financial position:

- £350 rent which was pre-paid as at 31 December 2020
- £250 electricity which is paid quarterly in arrears.

(b) Calculate the revised total current assets in the statement of financial position as at 31 December 2020.

(1)

Show your workings.

(c) Calculate the revised total current liabilities in the statement of financial position as at 31 December 2020.

(1)

Show your workings.

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Jalen is planning to purchase a second-hand van at a cost of £25 000. He will depreciate the vehicle by 16.5% each year using the straight line method.

(d) Calculate the net book value of the van at the end of the **second** year.

(3)

Show your workings.



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Jalen is hopeful that the order will be the first of many and is now considering two options to finance the purchase of the new machine:

Option 2: Crowdfunding.

- (12)

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(Total for Question 11 = 30 marks)

TOTAL FOR SECTION B = 52 MARKS

TOTAL FOR PAPER = 80 MARKS





Mark Scheme (Final)

May/June 2022

BTEC Level 3 National in Business / Enterprise and
Entrepreneurship

Unit 3: Personal and Business Finance
(31463H)

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June 2022

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General marking guidance

- All learners must receive the same treatment. Examiners must mark the first learner in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Learners must be rewarded for what they have shown they can do, rather than be penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where the grade boundaries may lie.
- All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the learner's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a learner's response, the team leader must be consulted.
- Crossed-out work should be marked UNLESS the learner has replaced it with an alternative response.

Specific marking guidance for levels-based mark schemes

Levels-based mark schemes (LBMS) have been designed to assess learner work holistically. They consist of two parts: indicative content and levels-based descriptors. Indicative content reflects specific content-related points that a learner might make. Levels-based descriptors articulate the skills that a learner is likely to demonstrate in relation to the assessment outcomes being targeted by the question. Different rows within the levels represent the progression of these skills.

When using a levels-based mark scheme, the 'best fit' approach should be used.

- Examiners should first make a holistic judgement on which band most closely matches the learner's response and place it within that band. Learners will be placed in the band that best describes their answer.
- The mark awarded within the band will be decided based on the quality of the answer in response to the assessment focus/objective and will be modified according to how securely all bullet points are displayed at that band.
- Marks will be awarded towards the top or bottom of that band depending on how they have evidenced each of the descriptor bullet points.

Section A: Personal Finance

Question Number	Answer	Mark
1	Award one mark for each advantage identified, up to a maximum of two marks. • Helps the consumer to see a wide range of accounts (1) • Saves time (1) • convenient/available 24/7/easily accessible (1) • Key account features can be ranked/compared/filtered (1) • Provides up to date information (1) Accept any other reasonable answer. Graduate	2

Question Number	Answer	Mark
2	Award one mark for each reason identified, up to a maximum of two marks. • To avoid getting into debt • To control spending/avoid overspending • Avoid legal action and/or repossession • Remain solvent • Maintain a good credit rating • Avoid bankruptcy • To manage money to fund purchases/budget • Set financial targets for spending and saving Accept any other reasonable answer. Graduate	2

Question Number	Answer	Mark
3	Award one mark for identification of a disadvantage of using cash as a method of payment and one mark for a linked development. • Cash can be lost/stolen (1) which will prevent the holder from using the cash (1) • Threat of counterfeit (1) so may not be accepted as payment (1) • Cannot be used to pay online (1) limits access to some businesses/products/services(1) • Retailers may not accept cash (1) due to current health concerns (1) • Not suitable for large purchases (1) due to risk/volume of carrying cash (1) • Cash cannot be tracked (1) so more difficult to track or evidence spending (1) Accept any other reasonable answer. Expert	2

Question Number	Answer	Mark
4	Award one mark for identification of an advantage of using an overdraft and one mark for a linked development, up to a maximum of four marks. • Can continue to purchase goods/services (1) when you don't have any funds in the account (1) • Simple application process (1) so can access the funds quickly (1) • Interest is only charged on the sum borrowed for the number of days used (1) which may reduce the cost compared with some other forms of borrowing such as a loan (1) • Overdraft is cleared when funds are deposited (1) /which makes it automatic to repay (1) • Can be prearranged (1) so available in a time of need (1) Accept any other reasonable answer. Expert	4

Question Number	Indicative content	Mark
5	Advantages of using savings to reduce mortgage balance - Interest rate on mortgage borrowings is 0.5% higher than the new interest rate for the ISA. Luz will therefore save more in interest avoided on the borrowings than she would gain in interest earned on her savings - Reducing borrowing will improve Luz's credit rating/score. This will help her to obtain funds from other sources in the future if required, e.g. personal loan - The payment will reduce the term of the mortgage if current monthly repayment levels are maintained - The payment will reduce her monthly mortgage repayments if the mortgage term is fixed/unchanged. This will reduce her regular financial commitments - More equity in the property which could be used in the future towards a move to a more expensive property and/or greater security/collateral to support any future borrowing - Even after reducing the mortgage balance by £10 000 Luz will still have £5 000 in savings - The interest rate on the ISA may reduce further in the future – the reduction may be the start of a downward trend Disadvantages of using savings to reduce mortgage balance - Once paid Luz cannot access the funds again (unless an offset mortgage) - There may be penalties for early repayments - Luz is getting married soon – it may not be a good time to reduce her savings - It may be prudent to have savings in case something unexpected happens, e.g. she could use her savings to pay her monthly mortgage payment if she lost her job/made redundant and/or unexpected car repairs/boiler/emergency in her house - The interest rate reduction may only be short-term and the rate may increase again in the future Expert	6
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark
	0	No rewardable material.

1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question Number	Indicative content	Mark
6	Ashridge • Most expensive premium • Joint lowest compulsory excess • Second highest amount of cover • Bike replacement cover up to original purchase cost Shirevale • Cheapest premium • Second highest compulsory excess • Third highest amount of cover • Bike replacement cover up to £500 – would not cover original cost of his bike The Royal Insurance • Second cheapest annual premium • Joint lowest compulsory excess • Lowest amount of cover • No bike replacement cover so not suited to his needs Westshire • Second highest annual premium • The highest compulsory excess • Unlimited cover – peace of mind that all items are covered • Bike replacement cover up to £2 000 – would not fully cover original cost of his bike Expert	12

Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.

3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

Section B: Business Finance

Question Number	Answer	Mark
7	Award one mark for each type identified, up to a maximum of two marks. • Loan (1) • Mortgages (1) • Shares/Stocks (not stock) (1) • Owner's capital • Debentures (1) • Crowd funding (1) • Venture capital (1) • Grants (1) Accept any other appropriate response. Graduate	2

Question Number	Answer	Mark
8	Award one mark for identification of a way that a cash flow forecast may be used and one mark for a linked development. • Business planning/decision-making (1) as the cash flow forecast will predict future cash inflows and outflows (1) • Monitoring performance (1) as actual financial performance can be compared with the forecasted figures or previous years (1) • Control (1) as the figures can be used to limit expenditure (1) • Target setting (1) to monitor inflows and outflows (1) • To show to potential investors/bank (1) to secure finance (1) Accept any other appropriate response. Expert	2

Question Number	Answer	Mark
9	Award one mark for identification of an effect on the final accounts of a business and one mark for a linked development. • Reduces profit (1) as amortisation increases the business's expenses (1) • Reduces the net book value of the intangible asset in the statement of financial position (1) as the value of amortisation has to be deducted (1) • Reduces owner's equity (1) as the business assets are now worth less (1) Accept any other appropriate response. Expert	2

Question Number	Answer	Mark
10a	Award three marks for the correct response of £10 725 Accept correct figure without pound sign, i.e. 10 725 Accept correct answer anywhere in workings box. OR Award one mark for the formula in words or numbers: - Fixed costs = (selling price per unit – variable cost per unit) x break-even quantity - Fixed costs = contribution x break-even quantity - Fixed costs = (2.75 – 1.10) x 6 500 - Fixed costs = 1.65 x 6 500 - Break-even quantity = Fixed costs / (selling price – variable cost per unit) - Break-even quantity = Fixed costs / contribution per unit 6 500 = Fixed costs / (2.75 – (30 + 80)) 6 500 = Fixed costs / (2.75 – 1.10) AND Award one mark for contribution per unit of £1.65 Expert	3

Question Number	Answer	Mark
10b	Award three marks for the correct answer of break-even point will reduce/change by 2 031 units (6 500 – 4 469) Accept 2031.2 or 2031.25 OR Award two marks for calculating the new break-even quantity: ☐ Break-even = $10\,725 / 2.40 = 4\,468.75$ units Also accept ☐ 4 469 units ☐ 4 468.8 units Do not accept 4 468 units OR Award one mark for calculating the new contribution: ☐ $3.50 - (30 + 80)$ ☐ $3.50 - 1.10 = 2.40$ AND Award one mark for the break even formula: ☐ Break even point = fixed cost/(selling price-variable costs) Expert	3

Question Number	Answer	Mark
10c	Award two marks for 531 units/ice creams. Accept with or without the label of units/ice creams. Accept 531.2 units and 531.25 units OR Award one mark for formula in words or numbers: • Margin of safety = expected sales – break-even quantity • Margin of safety = 5 000 – 4 469 OR Award one mark for: • Margin of Safety = 5 000 – 4 468.8 OR Award one mark for: • Margin of Safety = 5 000 – 4 468.75 Expert	2

Question Number	Indicative content	Mark
10d	Increased profit • Contribution per unit will rise from £1.65 to £2.40 so each ice cream sold will contribute more greatly towards the fixed costs • If the number of units/ice creams sold is unchanged by the increase in the selling price the break-even quantity should fall (assuming costs remain unchanged). This will have a positive impact on the profitability of Emilia's business • Competing products are sold at the higher price of £3.50 • Emilia's ice creams are new/organic so customers may be keen to try them at the higher price. Reduced profit • Emilia's number of sales may fall at the higher price • total revenue may fall (depending on the size of the reduction in the number of units sold) • The fall in revenue/sales may be greater than the benefit of the extra contribution • Competing products may be worth a 'higher' price than Emilia's ice creams, e.g. brand name, USP or additional toppings • Emilia's ice cream range is new so she is yet to build up a base of loyal customers Accept any other appropriate response. Expert	8

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Mark	Descriptor
0	No rewardable material.
1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
7–8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Answer	Mark
11a	Award one mark for each correct answer. i) 28 973 ii) 10 629 iii) 9 754 iv) 12 184 v) 20 000 (ECF if wrong answer calculated for 11aiv, but correct calculation applied) vi) 44 911 (ECF if wrong answer calculated for 11avii, but correct calculation applied) vii) 321 211 Expert	7

Question Number	Answer	Mark
11b	Award one mark for the correct answer. • The pre-paid rent must be added to the current assets • £39 373 + £350 • £39 723 Alternative: If learner has assumed prepaid 31st Dec 2020 then this prepayment will have been used to pay rent in 2021 and so nothing will need to be added. Award one mark for £39 373 Graduate	1

Question Number	Answer	Mark
11c	Award one mark for the correct answer. • The accrual must be added to the current liabilities • £27 189 + £250 • £27 439 Alternative: If learner has assumed arrears are from 2020 and paid quarterly, then each quarter the arrears would have been paid and would have been cleared during 2020. Therefore nothing to add. Award one mark for £27 189 Graduate	1

Question Number	Answer	Mark
11d	Award three marks for £16 750 OR Award two marks for the correct formula in numbers $\text{NBV} = £25,000 - £8,250$ OR Award two marks for correct depreciation total of £8,250 OR Award one mark for correct formula in words $\text{NBV} = \text{Original asset cost} - \text{accumulated depreciation}$ AND Award one mark for calculating the annual depreciation = £4 125 OR Award one mark for £20,875 which is netbook value minus £4,125. Do not award 1 mark for £4,125 if you are awarding 2 marks for the correct formula in numbers or the correct depreciation of £8,250 Accept correct figure with or without pound sign. Expert	3

Question number	Indicative content	Mark
11e	Advantages • Net current assets measure the business's ability to meet day-to-day expenses, and whether the business has sufficient liquid assets to repay any trade credit offered • Figures from the statement of financial position can be compared over a number of years to establish trends • Figures from the statement of financial position can be compared in relation to other figures, e.g. current assets can be measured in relation to current liabilities • Comparisons can be made to assess how the business is performing in relation to its competitors which will help the supplier consider relative competitiveness and therefore the stability of the business • Ratio analysis can be used by the supplier to analyse the financial data in detail Disadvantages • The statement of financial position presents data for a set point in time, which limits its value as at other times of year the situation may differ, especially for a seasonal business • The figures are calculated on past data and therefore may not be a true reflection of the current performance of the business • The figures cannot predict future performance and therefore not indicate the future creditworthiness of the business. The figures may even mislead the supplier based on past business success • Other qualitative factors may be more valuable regarding the business's worthiness for trade credit, e.g. change of senior manager over recent months leading to new strategic ideas/direction • Accounts could have been window dressed Accept any other appropriate response. Expert	(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.

1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
11f	Advantages of venture capital • An experienced business professional may provide the finance and can offer mentoring and guidance alongside the financial contribution, which will increase the chances of success • The venture capitalist is willing to take more risks than a bank – there is no guarantee that the new way of packaging food will be a success. No track record to consider • Speed of decision on venture capital availability may be an advantage • Venture capitalist may provide links to a wider customer/supplier base for Jalen Disadvantages of venture capital • Loss of ownership and control • Conflict may arise between Jalen and the venture capitalist as they want to contribute to decision making • Some types of venture capital involve giving something away (e.g. equity, control, ownership) • The cost of venture capital is typically high relative to other sources of finance • Too small to attract venture capital Advantages of crowdfunding • Can be a quick way to raise finance with no upfront fees • Can be a valuable form of marketing and result in media attention • Get feedback on your idea and expert guidance on how to improve it • Good way to test the public's reaction to your product/idea • Investors can track your progress, which can help to promote the brand through their networks • Ideas that may not appeal to conventional investors can often get financed more easily • Investors can often become loyal customers through the financing process Disadvantages of crowdfunding • Can take a very long time to raise finance • Some types of crowdfunding involves giving something away (eg equity crowdfunding involves giving away part of the ownership/control/equity of the business in return for funds) • Not all projects that apply to crowdfunding platforms get onto them • You need to do a lot of work in building up interest before the project launches • If you don't reach your funding target, any finance that has been pledged will usually be returned to your investors and you will receive nothing • Failed projects risk damage to the reputation of your business and people who have pledged money to you • Can be difficult to set the rewards for investors - getting the rewards or returns wrong can mean giving away too much of the business to investors • May be too small an amount to consider using crowdfunding Accept any other appropriate response.	12

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.		
Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation,

		demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.
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Pearson BTEC Level 3 Nationals

Please check the examination details below before entering your candidate information

Candidate surname

Other names

Centre Number

Learner Registration Number

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Time 2 hours

Paper
reference

31463H

Business/Enterprise and Entrepreneurship

UNIT 3: Personal and Business Finance

You must have:
Calculator

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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P 6 4 3 2 3 R R A 0 1 2 4



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SECTION A

Personal Finance

Answer ALL questions. Write your answers in the spaces provided.
You should spend up to 45 minutes on this section.

- 1** Give **two** advantages to the consumer of having a basic current account.

1

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2

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(Total for Question 1 = 2 marks)

- 2** Give **two** ways a consumer can maintain a good credit rating.

1

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2

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(Total for Question 2 = 2 marks)

- 3** Identify **two** features of a standing order as a method of payment.

1

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2

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(Total for Question 3 = 2 marks)

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4 Explain **two** advantages to the consumer of using mobile banking.

1

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2

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(Total for Question 4 = 4 marks)



P 6 4 3 2 3 R R A 0 3 2 4

Personal attitudes towards the role of money will be different depending on a person's life stage.

5 Discuss the personal attitudes of people in young adulthood towards **borrowing** and **saving** money.

(6)

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(Total for Question 5 = 6 marks)



Tomohisa has a young family. A friend has advised him to consider getting life insurance. The insurance would help to cover the costs of his mortgage and bills if Tomohisa became ill and could not work. The insurance policy would also pay out a lump sum if Tomohisa died.

Tomohisa has researched the following life insurance providers.

Insurance provider	Annual cost	Online approval	Critical illness cover paid out on diagnosis*	Lump sum paid out on death
Westshire Insurance	£262	No (medical examination is required)	Up to £35 000	£200 000
Ashridge Insurance	£205	Yes	Up to £10 000	£170 000
Shirevale Insurance	£188	No (medical examination is required)	Up to £15 000	£180 000
The Royal Insurance	£89	Yes	Up to £6 000	£90 000

*Critical illness cover will insure the policy holder against a number of illnesses that can be life changing.

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6 Evaluate which life insurance provider would be the best for Tomohisa.

(12)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 28 MARKS



SECTION B

Business Finance

Answer ALL questions. Write your answers in the spaces provided.
You should spend up to 75 minutes on this section.

- 7** Identify **two** labels used on a break-even chart.

1

.....

2

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(Total for Question 7 = 2 marks)

- 8** Explain **one** advantage to a business of using hire purchase as a source of finance.

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(Total for Question 8 = 2 marks)

- 9** Describe why using the reducing balance method of depreciation might be more appropriate for some assets such as vehicles.

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(Total for Question 9 = 2 marks)

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P 6 4 3 2 3 R R A 0 1 1 2 4

Lin owns a business called *Lin's Luggage*. The business makes and sells high quality suitcases to retailers around the UK. Lin wants to complete a statement of comprehensive income based on the extra information shown below.

Additional information

- 1 Equipment is to be depreciated using the straight line method at a rate of 10% per annum. The net book value (NBV) is £16 200 and the equipment originally cost £18 000.
- 2 Vehicles are to be depreciated using the reducing balance method at a rate of 25% per annum. The net book value (NBV) is £36 000 and the vehicles originally cost £48 000.
- 3 The wages figure, £243 300, does not include an accrual of £9 000 that was still owing at the end of the financial year.
- 4 The utility bills figure of £18 800 includes a prepayment of £700 for the year ended 31 March 2021.
- 5 The rent payable increased by 5% on last year's figure of £17 000.
- 6 Commission received is expected to be 10% lower than last year's figure of £4 000.

Workings box

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- 10 (a) Complete the extract from the statement of comprehensive income for the year ended 31 March 2020. The extract starts at **gross profit**.

Lin's Luggage
Extract from the statement of comprehensive income
for the year ended 31 March 2020

	£	£
Gross profit		326 000
Commission received	(i)	(1)
	(ii)	(1)
Expenses		
Rent payable	(iii)	(1)
Utility bills	(iv)	(1)
Wages	(v)	(1)
Depreciation of equipment	(vi)	(1)
Depreciation of vehicles	(vii)	(1)
Total expenses	(viii)	(1)
Profit for the year	(ix)	(1)



Lin wants to increase the profitability of *Lin's Luggage*. She thinks she should sell the vehicles that the business uses to deliver the suitcases to her customers. She thinks the vehicles are worth £43 000, which is more than the net book value of £36 000. She is considering whether selling the vehicles would be a good idea to boost profitability.

- (b) Discuss whether *Lin's Luggage* should sell the business' vehicles to boost profitability.

(6)

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(Total for Question 10 = 15 marks)



Anna owns a business called *Anniematronics*. The business makes and sells high quality puppets for use in children's TV programmes. Anna wants to calculate some ratios to measure the financial performance of the business. She has given you the following extract of financial information.

Extract of financial information

	£
Current assets	40 296
Current liabilities	5 210
Gross profit	365 730
Profit for the year	24 382
Sales revenue	487 640

11 (a) Using the extract of financial information given above, calculate the following ratios:

(i) Calculate the **current ratio**.

(2)

Show your workings.

(ii) Calculate the **mark-up ratio**.

(3)

Show your workings.



(iii) Calculate the **profit margin ratio**.

(2)

Show your workings.



P 6 4 3 2 3 R R A 0 1 7 2 4

Anniematronics has an authorised overdraft facility for £10 000. Anna wants to avoid using this overdraft facility if possible. She has prepared a cash flow forecast for the next six months to help manage the business's finances. However, the forecast is incomplete.

- (b) (i) Complete the outlined boxes labelled (i) to (iv) in the cash flow forecast for Anniematronics for the six months ended 30 September 2021.

(4)

Cash flow forecast of Anniematronics for the six months ended 30 September 2021

	Apr	May	Jun	Jul	Aug	Sept
	£	£	£	£	£	£
Opening balance	(i)	(ii)	(9 883)	9 435	(3 489)	19 797
Inflows						
Credit sales*	101 484	41 167	95 757	61 064	96 685	44 605
Total inflows	101 484	41 167	95 757	61 064	96 685	44 605
Outflows						
Cash purchases	63 463	69 954	67 464	65 346	64 657	64 443
Drawings	8 000	8 000	8 000	8 000	8 000	8 000
Other expenses	357	674	975	642	742	1 889
Total outflows	71 820	(iii)	76 439	73 988	73 399	74 332
Net cash flow	29 664	(37 461)	(iv)	(12 924)	23 286	(29 727)
Closing balance	27 578	(9 883)	9 435	(3 489)	19 797	(9 930)

* All of Anniematronics' sales are on 90 days' credit.



(ii) Analyse how *Anniematronics* could improve its cash flow to try to avoid using the overdraft facility.

(8)

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Anna can make the products for a variable cost of £135 per puppet and *Anniematronics* typically sell their puppets for £235 per puppet.

(12)

This image shows a full page of white paper with horizontal dotted lines. The lines are evenly spaced and run across the width of the page, providing a guide for handwriting practice. There are no margins, text, or other markings on the page.



Handwriting practice area with 30 horizontal dotted lines.

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(Total for Question 11 = 31 marks)

TOTAL FOR SECTION B = 52 MARKS
TOTAL FOR PAPER = 80 MARKS



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Mark Scheme (Standardisation)

January 2022

BTEC Level 3 National in Business /
Enterprise and Entrepreneurship

Unit 3: Personal and Business
Finance (31463H)

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January 2022

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ALWAYS LEARNING



General marking guidance

- All learners must receive the same treatment. Examiners must mark the first learner in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Learners must be rewarded for what they have shown they can do, rather than be penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where the grade boundaries may lie.
- All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the learner's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a learner's response, the team leader must be consulted.
- Crossed-out work should be marked UNLESS the learner has replaced it with an alternative response.

Specific marking guidance for levels-based mark schemes

Levels-based mark schemes (LBMS) have been designed to assess learner work holistically. They consist of two parts: indicative content and levels-based descriptors. Indicative content reflects specific content-related points that a learner might make. Levels-based descriptors articulate the skills that a learner is likely to demonstrate in relation to the assessment outcomes being targeted by the question. Different rows within the levels represent the progression of these skills.

When using a levels-based mark scheme, the 'best fit' approach should be used.

- Examiners should first make a holistic judgement on which band most closely matches the learner's response and place it within that band. Learners will be placed in the band that best describes their answer.
- The mark awarded within the band will be decided based on the quality of the answer in response to the assessment focus/objective and will be modified according to how securely all bullet points are displayed at that band.
- Marks will be awarded towards the top or bottom of that band depending on how they have evidenced each of the descriptor bullet points.

Section A: Personal Finance

Question Number	Answer	Mark
1	Award one mark for each type of basic current account advantage stated up to a maximum of two marks. • The ability to pay in money/cheques (1) • Debit card to use online/in stores (1) • Free to set up/free to use (1) • Access to cash machines (1) • Can set up direct debits/standing order (1) • Regular bank statements/tracking transactions (1) • Restrict spending as no overdraft facility (1) • Allows people with low credit scores to have a bank account (1) • No withdrawal restrictions of money available Do not accept easy to use/convenient. Accept any other appropriate answer.	(2)

Question Number	Answer	Mark
2	Award one mark for each way a consumer can maintain their credit rating up to a maximum of two marks. • Register on the electoral role (1) • Keep a check on your credit score (1) • Pay bills/loans/credit cards on time (1) • Check if you are linked to another person (1) • Check for fraudulent activity (1) • Avoid County Court judgements (1) • Avoid high levels of debt/applying for too much credit (1) • Do not move home regularly (1) • Get a credit builder credit card/apply for credit (1) Accept any other appropriate answer.	(2)

Question Number	Answer	Mark
3	Award one mark for each feature of a standing order up to a maximum of two marks. • Fixed amounts (1) • Can be for a set period of time (1) • Consumer authorises (1) • Consumer sets the date/sets the amount (1) • Payments can be set at regular intervals (1) • Automated payments (1) • Consumer can easily cancel them (1) • Usually same day payment (1) • Quick and easy to set up (1) • Secure method of payment (1) Accept any other appropriate answer. Do not accept 'quick and easy' on it's own.	(2)

Question Number	Answer	Mark
4	Award one mark for each identification of an advantage to the consumer of using mobile banking (max 2) and one mark for each linked development to the advantage (max 2) • Can check balances etc. using an app (1) which saves customers time/quick and convenient (1) • Can transfer funds from one account to another quickly (1) which may prevent going overdrawn so saving money (1) • Improved security by using biometrics/fingerprints/facial recognition (1) which means the account is less likely to be subject to fraud (1) • Available 24/7 (1) which means that banking can be accessed at any time (1) • Does not require access to a branch (1) which means consumers in remote areas can carry out banking transactions (1) • Help feature this allows you to troubleshoot (1) therefore no need to phone the branch or visit saving time (1) Accept any other appropriate answer.	(4)

Question Number	Indicative content	Mark
5	Borrowing • May borrow from family members due to being unable to access larger loans due to earning power • Much more likely (four times) to overborrow compared to the rest of society • Much more likely to have an overdraft and get into financial difficulties as a result • More likely to rent a home than borrow for a mortgage • Lack of understanding of the risks of overborrowing • Danger of taking on too much instant credit (credit cards/store cards) • Credit cards/store cards viewed as easy money Saving • May earn limited amounts (only around half are in work) or rely on parents/relatives for funding (may be in education) so less likely to be able to save • May have needs and wants that they feel should be satisfied immediately, so money is spent quickly after receiving it • May be less likely to save as they feel they do not need to save given their relatively young age • Less likely to save as they do not know how the system works/ have suitable ID • Less likely to have some financial services products such as savings accounts and pensions • Saving likely to be viewed only as necessary for obtaining a mortgage	(6)

Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark
	0	No rewardable material.
1	1-2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3-4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5-6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question Number	Indicative content	Mark
6	Indicative content could include: Westshire • Is the most expensive (£262) • A medical is required, which may limit cover • It is the best for critical illness cover(up to £35 000) • Lump sum pay out is the best of all four (£200 000) Ashridge • £57 cheaper than Westshire • Approved without a medical/Online approval could mean it is easier to set up • Critical illness cover lower than Shirevale's, which is a cheaper insurance to purchase • Lump sum pay out is the third highest (£170 000) Shirevale • The second cheapest by £74 • A medical is required for approval which may limit cover • Critical illness payment is the second highest • Lump sum payment is the are the second highest (£180 000) The Royal Insurance • Cheapest insurance to buy • Approved without a medical/Online approval could mean it is easier to set up • Critical illness payments are the lowest of the four • Lump sum payments are the lowest of the four	(12)

Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

Section B: Business Finance

Question Number	Answer	Mark
7	Award one mark for each label identified, up to a maximum of two marks. • Break-even point (1) • Break-even quantity (1) • Break-even revenue (1) • (Area of) Profit (1) • (Area of) Loss (1) • Margin of safety (1) • Variable costs (1) • Fixed costs (1) • (Total) Revenue/sales/£ (1) • Quantity/units (1) • Total costs (1) Do not accept 'break-even' as this is too vague. Accept abbreviations e.g. TC, BEP.	(2)

Question Number	Answer	Mark
8	Award one mark for explaining an advantage and a further one mark for a linked development explaining why it is an advantage up to a maximum of two marks. • Do not need to pay the full amount up front (1) which helps improve the business cash flow (1) • Does not show on the statement of financial position as debt (1) so the business value is higher overall (1) • Maintenance costs may be included (1) so no unexpected repair bills (1) • A smaller payment per month could be agreed in exchange for a larger final payment (1) which means the business can use cash generated from the asset to pay for the final payment (1) • Access to more expensive assets (1) as the cost is spread over time (1) • Asset is owned at the end of the HP period (1) therefore having an asset to sell/improved cashflow (1) Accept any other appropriate answer.	(2)

Question Number	Answer	Mark
9	Award one mark for describing why a business might use the reducing balance method for assets such as vehicles and one mark for a linked development up to a maximum of two marks. The amount of depreciation charged as an expense each year falls (1) which helps keep expenses more consistent as repair cost are likely to increase in later years (1) To reflect that vehicles usually depreciate more in their early years of use (1) so that the vehicles values are not overstated on the statement of financial position / more accurate valuation (1) Accept any other appropriate answer.	(2)

Question Number	Answer	Mark
10a	Allocate marks as indicated in the table for parts (i) to (ix)	(9)

<i>Lin's Luggage</i> Extract from the statement of comprehensive income for the year ended 31 March 2020		
	£	£
Gross profit		326 000
Commission received		(i) 3 600
		(ii) 329 600 (ECF)*
Expenses		
Rent payable	(iii) 17 850	
Utility bills	(iv) 18 100	
Wages	(v) 252 300	
Depreciation of equipment	(vi) 1 800	
Depreciation of vehicles	(vii) 9 000	
Total expenses		(viii) 299 050 (ECF) **
Profit for the year		(ix) 30 550 (ECF) ***

*ECF for item (ii) must show figure a being added to gross profit.

**ECF for expenses must be numerically correct based on their own figures in expenses.

*** ECF for profit for the year must be the candidate's answer for ii minus answer for viii.

Question Number	Answer	Mark
10b	Reasons for selling • Will raise profits in the short term if the sale price of £43 000 is achieved then a profit on disposal of £7 000 could be created • Will create additional cash inflows in the short term, which will boost liquidity but not profitability • Might not need the vehicles • May be able to source cheaper alternatives, e.g. more efficient /lower insurance costs/outsourcing/leasing • Will reduce depreciation/running costs if the vehicles are not replaced Reasons for not selling • Vehicles might be needed, which may impact on both the short- and long-term running of the business (e.g. deliveries) • Hiring/buying new vehicles may be more expensive as new ones may need to be depreciated at a higher rate • Outsourcing will increase dependence on third-party providers and could cause customer service issues if deliveries are negatively impacted. • Long term this could reduce profits • Depreciation in vehicles is minimal compared to some other expenses such as wages	(6)

Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–2	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Answer	Mark
11 a (i)	Award two marks for any of the following answers: 7.73:1 7.7: 1 8:1 Accept any response that is more accurate in terms of decimal places, e.g. 7.73436:1 Accept answer with or without the :1 OR Award one mark for formula in words or numbers. - Current ratio = current assets / current liabilities - Current ratio = 40 296 / 5 210	(2)

Question Number	Answer	Mark
11 a (ii)	300% (3) Accept with or without percentage sign. OR Award two marks for the following: - $(365\,730 / 121\,910) \times 100$ OR Award one mark for the formula in words or numbers. - $(\text{Gross profit} / \text{Cost of sales}) \times 100$ - $365\,730 / (487\,640 - 365\,730) \times 100$ AND Award one further mark for the correct calculation of cost of sales. $(487\,640 - 365\,730)$ $= 121\,910$	(3)

Question Number	Answer	Mark
11 a (iii)	Award two marks for the correct answer of 5% Accept answer with or without percentage sign. OR Award one mark for providing the formula in either words or numbers. - (Profit / Revenue) x 100 - (24 382 / 487 640) x 100	(2)

Question Number	Answer	Mark																																																																																																																
11 b (i)	i) (2 086) (ii) 27 578 (iii) 78 628 (iv) 19 318 <table><tr><th></th><th>April</th><th>May</th><th>June</th><th>July</th><th>August</th><th>September</th></tr><tr><th></th><th>£</th><th>£</th><th>£</th><th>£</th><th>£</th><th>£</th></tr><tr><td>Opening balance</td><td>i (2 086)</td><td>ii 27 578</td><td>(9 883)</td><td>9 435</td><td>(3 489)</td><td>19 797</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Inflows</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Credit sales</td><td>101 484</td><td>41 167</td><td>95 757</td><td>61 064</td><td>96 685</td><td>44 605</td></tr><tr><td>Total inflows</td><td>101 484</td><td>41 167</td><td>95 757</td><td>61 064</td><td>96 685</td><td>44 605</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Outflows</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Cash purchases</td><td>63 463</td><td>69 954</td><td>67 464</td><td>65 346</td><td>64 657</td><td>64 443</td></tr><tr><td>Drawings</td><td>8 000</td><td>8 000</td><td>8 000</td><td>8 000</td><td>8 000</td><td>8 000</td></tr><tr><td>Other expenses</td><td>357</td><td>674</td><td>975</td><td>642</td><td>742</td><td>1 889</td></tr><tr><td>Total outflows</td><td>71 820</td><td>iii 78 628</td><td>76439</td><td>73 988</td><td>73 399</td><td>74 332</td></tr><tr><td>Net cash flow</td><td>29 664</td><td>(37 461)</td><td>iv 19 318</td><td>(12 924)</td><td>23 286</td><td>(29 727)</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Closing balance</td><td>27 578</td><td>(9 883)</td><td>9435</td><td>(3 489)</td><td>19 797</td><td>(9 930)</td></tr></table> No ECF is awarded on this question		April	May	June	July	August	September		£	£	£	£	£	£	Opening balance	i (2 086)	ii 27 578	(9 883)	9 435	(3 489)	19 797								Inflows							Credit sales	101 484	41 167	95 757	61 064	96 685	44 605	Total inflows	101 484	41 167	95 757	61 064	96 685	44 605								Outflows							Cash purchases	63 463	69 954	67 464	65 346	64 657	64 443	Drawings	8 000	8 000	8 000	8 000	8 000	8 000	Other expenses	357	674	975	642	742	1 889	Total outflows	71 820	iii 78 628	76439	73 988	73 399	74 332	Net cash flow	29 664	(37 461)	iv 19 318	(12 924)	23 286	(29 727)								Closing balance	27 578	(9 883)	9435	(3 489)	19 797	(9 930)	(4)
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Question Number	Answer	Mark
11 b (ii)	Indicative content: • Does not exceed overdraft facility (£10,000), so if the costs and revenues are correct it would avoid additional charges • Could reduce the credit period although this could impact on sales • Could try to find more regular customers/increase sales to even out cash flow as sales appear very inconsistent, although this could be because orders are large • Could try to reduce the amount of drawings, although Anna may need the money for her own personal use • Could try to arrange credit with a supplier or switch to a cheaper supplier to reduce cash purchases although this could lead to quality issues • Anna can monitor <i>Anniematronics'</i> general expenses and take action to reduce them, although the amounts are quite insignificant and will not impact on cash flow a great deal • Anna could try to negotiate an interest free overdraft, which would reduce costs/outflows as the inflows for <i>Anniematronics</i> are quite large and the business appears successful • Appears to buy a consistent amount of purchases despite sales being inconsistent. May wish to try to purchase raw materials based on orders to help improve cash flow • It is a forecast and may not be correct as the revenue and expenditure are quite large so even a small variation in sales or expenses could cause the business to exceed its overdraft facility of £10 000	(8)

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
11 c	Indicative content: Argument for accepting the order • Positive contribution of £45 per puppet • Will increase revenue by £18 000 • Will improve overall profit by £2 000 if she accepts the order. • May help her gain the regular custom of a leading TV production company • Minimal increase in fixed costs • If the TV programme proves popular it could lead to more orders and other opportunities. Argument against accepting the order • Will increase variable costs by £13 500 and total costs by £16 000 • £55 difference between usual selling price and price Karpets-time want to pay • The new order could distract from other orders being taken given the staff are working at capacity • It could lead to overtime payments for existing staff or to employing extra staff, which will increase costs and therefore reduce profits • If she neglects her regular customers for this order she could lose them	(12)

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.



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Candidate surname					Other names					
Pearson BTEC Level 3 Nationals Extended Certificate, Foundation Diploma, Diploma, Extended Diploma	Centre Number					Learner Registration Number				
Tuesday 12 January 2021										
Morning (Time: 2 hours)					Paper Reference 31463H					
Business/Enterprise and Entrepreneurship										
Unit 3: Personal and Business Finance										
You must have: Calculator								Total Marks		

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Try to answer every question. If you cannot answer a question move on to the next one and come back to the question at the end.
- Check your calculations and show the steps you have used.
- Check your answers if you have time at the end.

Turn over ►

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SECTION A

Personal Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 45 minutes on this section.

- 1 State **two** organisations that provide consumer protection in relation to personal finance.

1

2

(Total for Question 1 = 2 marks)

- 2 Give **two** advantages to the consumer of using gilts as a form of saving.

1

2

(Total for Question 2 = 2 marks)

- 3 Give **two** ways an investor can financially benefit from buying shares in a business.

1

2

(Total for Question 3 = 2 marks)

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4 Explain **two** advantages to the consumer of visiting a bank branch in person.

1

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(Total for Question 4 = 4 marks)



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(Total for Question 5 = 6 marks)



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Yasin is 26 years old and has had a driving licence for six years. Yasin has never had a car accident and he has never made a claim on his car insurance. His car is now quite old. Yasin lives in an area where car theft has increased in recent years.

Yasin's car insurance is due to be renewed. He has used his current insurance provider, Shirevale, for the last three years. Because Yasin has never made a claim he had expected the cost of his insurance premiums to decrease, but this has not happened.

Yasin has researched car insurance products from four different providers.

Insurance provider	Annual premium £	Excess * £	Courtesy car	No claims discount protected **
Ashridge	890	300	Additional option £56 extra	Yes
Shirevale	1 045	150	Included	Yes
The Royal Insurance	750	400	Additional option £75 extra	No
Westshire	980	200	Included	No

* Excess is the compulsory amount Yasin must pay to the insurance company if he makes a claim.

** No claims discount protected means that if Yasin makes a claim he will still have a no claims discount for the following year.

6 Evaluate which car insurance provider would be the most suitable for Yasin.

(12)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 28 MARKS



SECTION B

Business Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 75 minutes on this section.

- 7 Give **two** types of revenue income.

1

2

(Total for Question 7 = 2 marks)

- 8 (a) State the impact that a discount received would have on the profit for the year in an income statement.

(1)

- (b) State **one** current asset that could be included in a statement of financial position.

(1)

(Total for Question 8 = 2 marks)

- 9 Explain **one** advantage to a business of using debentures as a source of income.

(Total for Question 9 = 2 marks)

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Shedz is a business that sells garden sheds and other wooden buildings. The sheds are sold online and they are delivered to customers using the company's vehicles.

The owner, Clare, has given you some information about the financial performance of the business. She has asked you to analyse this information using ratio analysis.

Extract of Financial Information for *Shedz*

	£
Cost of sales	195 000
Gross profit	65 000
Expenses	13 000
Capital employed	416 000
Opening inventory	42 000
Closing inventory	36 000

- 10 (a) Calculate the gross profit margin ratio.

(3)

Show your workings.

- (b) Calculate the profit margin ratio.

(3)

Show your workings.



P 6 7 4 5 4 A 0 1 3 2 4

(c) Calculate the inventory turnover ratio.

(3)

Show your workings.

Shedz must depreciate the value of the vehicles in its accounts.

(d) Discuss the advantages and disadvantages of using the reducing balance method to depreciate the value of the vehicles in its accounts.

(6)

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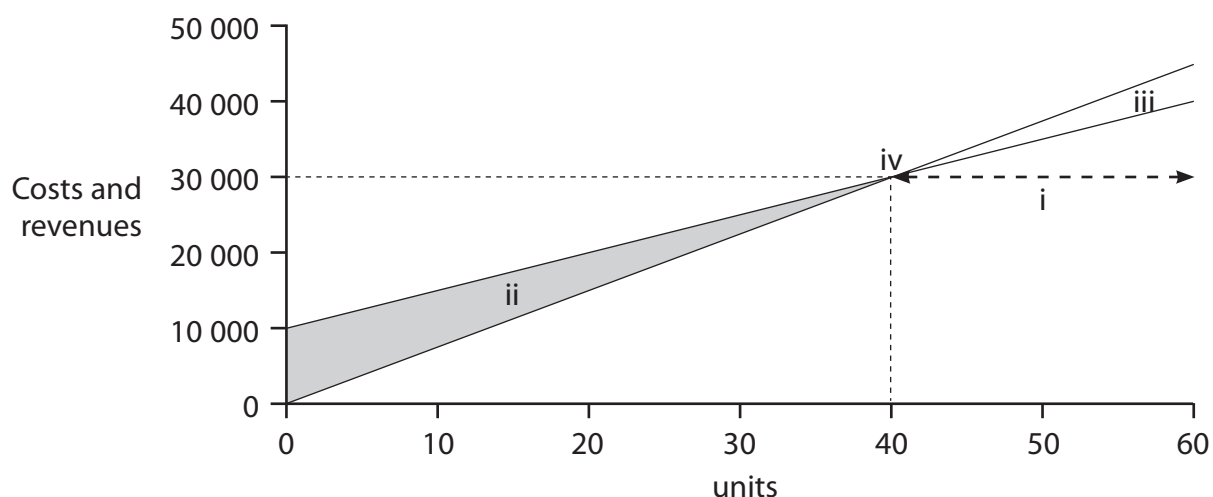
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(Total for Question 10 = 15 marks)



Mike owns a small business called *Palindrome*. He started the business three years ago making drones to sell to other businesses and the general public.

Mike plans to start making and selling a new type of drone. He predicts that he will sell 60 units per year. Mike has made some financial forecasts and created the following break-even chart for the new drone.



11 (a) Identify the items labelled (i) to (iv) on the break-even chart.

(4)

- (i)
- (ii)
- (iii)
- (iv)



(b) Calculate the selling price of each drone.

(2)

Show your workings.

.....

(c) Calculate the variable cost per unit of each drone.

(3)

Show your workings.

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(d) Calculate the margin of safety.

(2)

Show your workings.

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Mike is hoping to expand *Palindrone* quickly. Its current machinery is becoming outdated and the business needs to update its technology to remain competitive. The cost of a new machine is £40 000 and Mike is wondering how to fund this purchase. He has two options to choose from.

Option 1

Lease a new machine.

Leasing a machine will cost £1 000 per month. This cost includes any repair costs. The lease is for a minimum of two years. It can be cancelled after this point if two months' notice is given. An extra £1 500 fee must be paid for ending the lease early. The leasing company will deliver and install the machine.

Option 2

Purchase a new machine using a loan with a variable rate of interest over five years.

The loan repayment will be initially £800 per month. The loan will be secured against the business premises. The delivery and installation of the machine will cost an extra £1 200. Mike will also have to pay for any repairs once the machine's three-year guarantee ends.

- (f) Evaluate whether Mike should lease (Option 1) or use a loan (Option 2) to obtain the machine.

(12)

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(Total for Question 11 = 31 marks)

TOTAL FOR SECTION B = 52 MARKS

TOTAL FOR PAPER = 80 MARKS



Unit 3: Personal and Business Finance – mark scheme

General marking guidance

- All learners must receive the same treatment. Examiners must mark the first learner in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Learners must be rewarded for what they have shown they can do, rather than be penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where the grade boundaries may lie.
- All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the learner's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a learner's response, the team leader must be consulted.
- Crossed-out work should be marked UNLESS the learner has replaced it with an alternative response.

Specific marking guidance for levels-based mark schemes

Levels-based mark schemes (LBMS) have been designed to assess learner work holistically. They consist of two parts: indicative content and levels-based descriptors. Indicative content reflects specific content-related points that a learner might make. Levels-based descriptors articulate the skills that a learner is likely to demonstrate in relation to the assessment outcomes being targeted by the question. Different rows within the levels represent the progression of these skills.

When using a levels-based mark scheme, the 'best fit' approach should be used.

- Examiners should first make a holistic judgement on which band most closely matches the learner's response and place it within that band. Learners will be placed in the band that best describes their answer.
- The mark awarded within the band will be decided based on the quality of the answer in response to the assessment focus/objective and will be modified according to how securely all bullet points are displayed at that band.
- Marks will be awarded towards the top or bottom of that band depending on how they have evidenced each of the descriptor bullet points.

Section A Personal Finance

Question number	Answer	Mark
1	Award one mark for each correct organisation given, up to a maximum of two marks: • Financial Conduct Authority (FCA) (1) • Financial Ombudsmen Service (FOS) (1) <i>We will accept this response without the word service.</i> • Financial Services Compensation Scheme (FSCS) (1) <i>We can accept either the wording or the abbreviation.</i> Graduate	(2)

Question number	Answer	Mark
2	Award one mark for each advantage for the consumer of using gilts as a method of saving, up to a maximum of two marks: • Fixed interest / earn interest (1) • Regular / guaranteed income (1) • Low risk (safe/ secure / protected) (1) <i>any mention of low risk will be credited as correct.</i> • Know when you will get your investment back (1) • Can be sold at any time / savings can be accessed (1) Accept any other appropriate response. Graduate	(2)

Question number	Answer	Mark
3	Award one mark for each correct answer given, up to a maximum of two marks: • Share price increasing in value since original purchase (1) • Dividends paid by company to the investor (1) • Return from an investment could be greater than interest received from a bank (1) • Could receive a bonus issue of shares (1) • Could receive discounts on the company's products / services (1) Accept any other appropriate response. Graduate	(2)

Question number	Answer	Mark
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4	Award one mark for identification of an advantage to the consumer of using a bank branch and one further mark for development: • Can get more personalised service / better advice (1) because some products may be more suited to their needs (1) • Accessibility to a range of services for those without devices or the internet or who choose not to use this method (1) reducing anxiety of conducting banking in ways other than face to face (1) • Can get face to face which may be an advantage to some consumers (1) which may improve their decision making (1) • Convenient (1) as many banks have branches in city centres (1) • Some products may be exclusively available in branches only (1) so the consumer may receive more interest/pay lower fees (1) Accept any other appropriate response. Expert	(4)
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Question num	Indicative Content	Mark
5	Advantages of transferring credit card balances to a new credit card provider • Lower interest rates means paying less interest on existing debt. If Stefani can get a 0% card she could get a year's credit for free (minus any fees) • Many providers offer additional incentive to encourage balance transfers • Put the money saved from 0% interest into a savings account and earn money on it • Consolidate any other debts into one payment • May get an increased limit by switching provider which could positively impact on her credit score if payments are maintained Disadvantages of transferring credit card balances to a new credit card provider • May encourage excessive borrowing if credit limits are increased • Inability to find a 0% balance transfer offer could prove very expensive • Transfer limit usually applies so she can only transfer so much • Credit card provider might try and encourage the purchase of additional products, which she might not need (e.g. fraud protection) • Other purchases made on the card may be charged at the standard rate of interest • Increasing her credit card balance may affect Stefani's credit rating/score, which could affect her ability to access other products, e.g. mortgages, personal loans Other relevant comments • Given recent lockdown issues it might mean Stefani has been unable to go on holidays. She may have had the opportunity to reduce the outstanding balance. This could reduce any concerns she might have had about the amount owing. It might also make it easier to get hold of a new card if the amount she owes is smaller. • What if she is made redundant / furloughed? • Accept any other appropriate response. Expert	(6)

Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
6	Ashridge • Second cheapest of the four • Has the second highest excess of £300 • Courtesy car is an additional cost (but might not want to have this feature) • No claims discount is protected – may save money in the future if not made a claim Shirevale • Most expensive • Lowest excess of £150 • Courtesy car included • No claims discount is protected • Current provider – might not be giving him as good a deal as new supplier trying to get him to switch • Whilst Yasin is cancelling the insurance Shirevale could make a lower premium offer. The Royal Insurance • Cheapest provider • Highest excess of £400 • Courtesy car is an additional cost (but might not want to have this feature) • No claims discount is not protected Westshire • Second most expensive • Second lowest excess of £200 • Courtesy car included • No claims discount is not protected despite being second most expensive product Expert	(12)

Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

Section B Business Finance

Question number	Answer	Mark
7	Award one mark for each type of revenue income identified, up to a maximum of two marks: • Cash sales (1) • Credit sales (1) • Rent received (1) • Commission received (1) • Interest received (1) • Discount received (1) Award a maximum of 1 mark for sales where the learner has not specified whether it is cash or credit Accept any other appropriate response.	(2)

Question number	Answer	Mark
8a	Award one mark for the following: Profit for the year would increase Graduate	(1)

Question number	Answer	Mark
8b	Award one mark for the correct identification of a current asset: • Inventory / stock (1) • Trade receivables (debtors) (1) • Cash (1) • Bank (1) • Prepaid expense (1) • Accrued income (1) Accept any other appropriate response. Graduate	(1)

Question number	Answer	Mark
9	Award one mark for identification of an advantage for the business of using a debenture as a source of income and one mark for development: • The interest rate is fixed (1) so the company does not need to worry about increased interest charges (1) • Only interest is paid until the debenture is redeemed (1) so lower amounts being paid will improve cash flow (1) • Repayments / interest payments are fixed (1) which allows the business to plan finances / budget (1) • Long-term source of finance (1) which allows the	(2)

Question Number	Answer	Mark
10a	Award three marks for the correct response of 25% Accept with or without percentage sign OR Award one mark for the correct formula in words or numbers: - Gross profit margin = gross profit / sales revenue x 100 65 000 / (65 000 + 195 000) x 100 AND Award one further mark for the correct calculation of revenue of £260 000 NB. £ is not required Expert	(3)

Question Number	Answer	Mark
10b	Award three marks for the correct response of 20% Accept with or without percentage sign OR Award one mark for the correct formula in words or numbers: - Profit margin = profit / sales revenue x 100 (65 000 – 13 000) / (65 000 + 195 000) x 100 AND Award one further mark for the correct calculation of profit of £52 000 NB. £ is not required Expert	(3)

Question number	Answer	mark
10 (c)	Award three marks for the correct response of 73 days Accept with or without label (i.e.) 73 OR Award two marks for the following: $39\,000 / 195\,000 \times 365$ OR Award one mark for the correct formula in words or numbers: • Average inventory / Cost of sales x 365 • $(42\,000 + 36\,000) / 2 / 195\,000 \times 365$ AND Award one further mark for the correct calculation of average inventory of £39 000 NB. £ is not required Expert	(3)

Question number	Indicative content	Mark
10 (d)	Advantages • More depreciation in the early life of the asset and less in the later years of the asset's life, which helps offset greater repair costs as the vehicles age • Gives a more realistic valuation of the vehicles as they lose more value in the earlier years. • Prevents overstating the vehicles value so would comply with accounting concepts • Prevents understating the expense / overstating profits so would comply with accounting concepts • Give greater tax benefit in early years which would help grow the business Disadvantages • Harder to calculate than the straight line method as you will need to recalculate the expense each year figure based on the net book value at the end of the previous year • It is harder to work out what percentage to use to depreciate over the asset's lifetime • Will produce lower profit figures in the early years in the life of the asset Accept any other appropriate response. Expert	(6)

Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–2	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question Number	Answer	Mark
11a	Award one mark for each correct answer (i) Margin of safety (ii) Loss (iii) Profit (iv) Break-even point Graduate	4
11b	Award two marks for the correct answer of £750 Accept with or without £ sign OR Award one mark for the formula in either words of figures Selling price per unit = break-even revenue / break-even quantity Selling price per unit = 30 000 / 40 Graduate	2

Question Number	Answer	Mark
11c	Award three marks for the correct answer of £500 Accept with or without £ sign OR Award one mark for the formula in either words or figures Variable cost per unit = (total costs – fixed costs) / break-even quantity Variable cost per unit = (30 000 – 10 000) / 40 OR Award one mark for a rearranged formula in either words or figures Break-even quantity = fixed costs / (selling price per unit -variable cost per unit) 40 = 10 000 / (750 – variable cost per unit) AND Award one mark for correct calculation of total variable costs of £20 000	3

	Expert	
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Question Number	Answer	Mark
11d	Award two marks for the correct answer of 20 units Accept 20 OR Award one mark for the formula in either words or figures Margin of safety = expected output – break-even quantity Margin of safety = 60 - 40 Graduate	2

Question number	Indicative Content	Mark
11 (e)	Analysis of the data • The value of the business is falling each year • Profitability is improving each year • Mike is taking more out of the business in drawings each year • Drawings are greater than profit each year, which causes the value of the business to fall • The value of the non-current assets is falling Causes • Mike may not know the levels of profit at the time he is taking his drawings out so may not realise he is taking out more than the business earns • Mike might not understand the consequences of drawings being greater than levels of profit • Falling value of non-current assets to causes, as working with outdates machinery that is not being renewed / replaced • Consequences • Reducing liquidity • Affecting the ability of the firm to reinvest in non-current assets • A fall in sales / profitability given that drones will need up-to-date technology to build • Inability to reinvest and support development of new product lines Expert	(8)

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
11 (f)	Option 1 Advantages of leasing • Includes repair costs so peace of mind knowing that production should continue • Appropriate for a small company with cash flow issues • Short- term lease of two years means Mike can return the machine (after the notice period) if he wishes to • After two years can get more up-to-date machines if technology changes • Can budget for the cost of £1 000 per month as they know it should not vary Disadvantages of leasing • At the end of the lease Mike will have to return the asset • Does not own the machine so does not improve the value of the business • Will face additional costs of £1500 if the business tries to end the lease early • Cost is £10 800* more than the loan over the five-year period (excluding repair costs) Option 2 Advantages of loan • Machine is owned and is an asset and shown on the Statement of Financial Position increasing the value of the business • £200 per month cheaper than leasing • Works out £10 800* cheaper (ignoring repair costs) over the life • Interest rates could fall which would reduce the cost Disadvantages of loan • Could cost more if interest rates rise • Significant deposit might be required that the business may not have • Could lose the property if it defaults on the loan repayments • Additional installation and delivery cost, which will need to be funded (<i>Palindrone</i> may not have these funds to do this) • Repair costs if needed are not covered by loan so could add to overall costs if machinery breaks down. *£1 000 – £800 = £200 (difference in monthly cost) £200 x (12 x 5) = £12 000 (difference in cost over 5 years) £12 000 – £1 200 = £10 800 (deduction of delivery cost) Expert	(12)

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1-3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity
Level 2	4-6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7-9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10-12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

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Candidate surname					Other names					
Pearson BTEC Level 3 Nationals Extended Diploma	Centre Number					Learner Registration Number				
Tuesday 14 January 2020										
Morning (Time: 2 hours)					Paper Reference 31463H					
Business/Enterprise and Entrepreneurship										
Unit 3: Personal and Business Finance										
You must have: Calculator								Total Marks		

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and learner registration number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*
- Show your working when requested.

Information

- The total mark for this paper is 100.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*
- There are two sections: Section A, Personal Finance and Section B, Business Finance.
- You may use a calculator.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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Pearson

SECTION A – Personal Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 45 minutes on this section.

- 1 Give **two** functions of money.

1

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2

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(Total for Question 1 = 2 marks)

- 2 State **two** advantages to the consumer of using the Financial Ombudsman Service (FOS) for support in a complaint against a financial organisation.

1

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2

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(Total for Question 2 = 2 marks)

- 3 Explain **two** disadvantages to the consumer of using pre-paid cards.

1

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2

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(Total for Question 3 = 4 marks)

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4 Discuss the advantages and disadvantages to the consumer of using price comparison websites.





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(Total for Question 4 = 6 marks)



Rob has recently inherited £10 000. He is considering investing it into shares. Rob has two children aged three and five. He wants to provide £30 000 to contribute towards any future university fees.

5 Assess the suitability of Rob investing his inheritance by purchasing shares.

Your response should:

- provide a careful consideration of the factors that apply to Rob's situation
- identify which factors are the most important
- provide a supported conclusion.

(10)

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(Total for Question 5 = 10 marks)



James has a full time job earning a monthly salary. He lives near a busy main road. He has a cat which is 18 months old. The cat was purchased as a kitten at a cost of £450. The cat is quite adventurous and goes out for long periods of the day.

James has researched four different pet insurance providers. This information is shown below.

Insurance provider	Annual cost	Vet fees cover	Loss / stolen cover	Excess*
Ashridge	£39	Up to £2 000 per condition	None	£75
Shirevale	£68	Up to £1 000 per condition	Up to £400	£60
The Royal Insurance	£95	Up to £2 000 per condition	Up to £550	£50
Westshire	£127	Up to £4 000 per condition	Up to £800	£25

*Excess is the amount a pet owner pays towards any insurance claim made.

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(12)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION A = 36 MARKS



SECTION B – Business Finance

Answer ALL questions. Write your answers in the spaces provided.

You should spend up to 75 minutes on this section.

7 Identify **two** features of a debenture.

1

.....

2

.....

(Total for Question 7 = 2 marks)

Many businesses offer a prompt payment discount to credit customers who pay within a short period of time.

8 State **two** effects that a 'discount allowed' being offered to customers will have on the accounts of a business.

1

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2

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(Total for Question 8 = 2 marks)

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QUESTION 9 BEGINS ON THE NEXT PAGE.



P 5 9 8 3 8 A 0 1 3 3 2

Ruksana runs a flower shop called *Silva*. She has given you the following financial information. It is incomplete, so she has asked you to complete it for her.

9 (a) Complete the Statement of Comprehensive Income for *Silva* by calculating:

- (i) opening inventory
- (ii) gross profit
- (iii) heating and lighting expense
- (iv) profit for the year.

(4)

Silva

Statement of Comprehensive Income for the year ended 31 December 2019

	£	£
Sales		31 600
Opening inventory	(i)	(1)
Purchases	17 500	
Closing inventory	3 496	
Cost of goods sold		14 760
Gross profit		(ii) (1)
Expenses		
Wages	8 234	
Heating and lighting	(iii)	(1)
Total expenses		11 342
Profit for the year		(iv) (1)

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(b) Complete the Extract from the Statement of Financial Position for *Silva* by calculating:

- (i) vehicle cost
- (ii) equipment depreciation
- (iii) total net book value
- (iv) trade receivables
- (v) net current assets / liabilities.

(5)



P 5 9 8 3 8 A 0 1 5 3 2

Silva

Extract from the Statement of Financial Position at 31 December 2019

	Cost (£)	Depreciation (£)	Net book value (£)
Non-current assets			
Vehicle	(i) (1)	4 500	5 500
Fixtures and fittings	5 000	2 500	2 500
Equipment	9 500	(ii) (1)	6 000
			
		(iii) (1)	
Current assets			
Inventory		3 496	
Trade receivables		(iv) (1)	
Cash at bank		1 540	
Cash in hand		160	
			
			6 296
Current liabilities			
Trade payables		2 624	
Net current assets/liabilities			(v) (1)
Non-current liabilities			
Loan			2 100
			
Net assets			15 572

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To answer Questions 9(c) and 9(d), you will need to use the information in the:

- Statement of Comprehensive Income
- Extract from the Statement of Financial Position.

(c) Calculate the liquid capital ratio.

(3)

Show your workings.

All of *Silva's* purchases are made on credit from its supplier.

(d) Calculate the trade payables days ratio.

(2)

Show your workings.

(Total for Question 9 = 14 marks)



P 5 9 8 3 8 A 0 1 7 3 2

Ruksana is considering selling potted plants to go with the flowers as she believes there is a potential demand.

She has done some calculations and come up with the following figures.

Annual fixed costs	£5 100
Cost of each plant	£5.50
Cost of pot and soil required for each plant	£2.50
Selling price of each unit	£14

10 (a) Calculate the sales needed to break-even. (4)

Show your workings.

Ruksana is expecting to sell 30 potted plants **per week**.

(b) Calculate the margin of safety for the year. (3)

Show your workings.

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Ruksana has been offered a contract to supply flowers to a local business. The contract is worth £5 000 in revenue. She must supply 800 bunches of flowers which will cost her £3 600.

She will have to pay an additional £600 in fixed costs.

(c) Calculate the amount of profit the order will be worth.

(3)

Show your workings.

(Total for Question 10 = 10 marks)



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(Total for Question 11 = 6 marks)



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(Total for Question 12 = 8 marks)



Ruksana has started selling flowers to local businesses. These customers insist on a credit period of 60 days, which will affect her cash flow.

Ruksana is considering using an invoice discounting company. The company has offered her 80% of the value of her credit invoices to be paid immediately.

She has produced some new forecast information based on these business customers and the impact of the invoice discounting.

Extract of forecast financial information for <i>Silva</i> for the three months to 31 March 2020			
	January	February	March
	£	£	£
Credit sales	1 260	1 380	1 480
Amount received	1 008	1 104	1 184
Amount payable to finance company	252	276	296

13 Assess the impact invoice discounting will have on the business's profitability and liquidity.

Your response should:

- provide a careful consideration of the factors that apply to *Silva*'s situation
- identify which factors are the most important
- provide a supported conclusion.

(10)

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(Total for Question 13 = 10 marks)



Buying the property on a 20 year variable rate mortgage. At current interest rates this will cost £1 800 per month.

- (12)

[illegible]



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(Total for Question 14 = 12 marks)

TOTAL FOR SECTION B = 64 MARKS
TOTAL FOR PAPER = 100 MARKS





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Unit 3: Personal and Business Finance – sample mark scheme

General marking guidance

- All learners must receive the same treatment. Examiners must mark the first learner in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Learners must be rewarded for what they have shown they can do, rather than be penalised for omissions.
- Examiners should mark according to the mark scheme, not according to their perception of where the grade boundaries may lie.
- All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the learner's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a learner's response, the team leader must be consulted.
- Crossed-out work should be marked UNLESS the learner has replaced it with an alternative response.

Specific marking guidance for levels-based mark schemes

Levels-based mark schemes (LBMS) have been designed to assess learner work holistically. They consist of two parts: indicative content and levels-based descriptors. Indicative content reflects specific content-related points that a learner might make. Levels-based descriptors articulate the skills that a learner is likely to demonstrate in relation to the assessment outcomes being targeted by the question. Different rows within the levels represent the progression of these skills.

When using a levels-based mark scheme, the 'best fit' approach should be used.

- Examiners should first make a holistic judgement on which band most closely matches the learner's response and place it within that band. Learners will be placed in the band that best describes their answer.
- The mark awarded within the band will be decided based on the quality of the answer in response to the assessment focus/objective and will be modified according to how securely all bullet points are displayed at that band.
- Marks will be awarded towards the top or bottom of that band depending on how they have evidenced each of the descriptor bullet points.

Section A Personal Finance

Question number	Answer	Mark
1	Award one mark for each function of money given, up to a maximum of two marks: • Unit of account (1) • Store/unit/measure of value/deposit (1) • Legal tender (1) • Basis of credit/loans/borrowing (1) • Pay for goods / services / means of exchange (1) Accept any other appropriate response.	(2)

Question number	Answer	Mark
2	Award one mark for each advantage of using the Financial Ombudsman Service (FOS) stated, up to a maximum of two marks: • Free to use (1) • Unbiased / impartial (1) • Help/advice in resolving the issue (1) • Expert / professional / trained advisors (1) • Accessible to anyone (1) • Makes the final decision on cases (1) Accept any other appropriate response.	(2)

Question number	Answer	Mark
3	Award one mark for identification of a disadvantage to the consumer of using a pre-paid card and one mark for a reason why it is a disadvantage: • Can be expensive (1) because different fees associated with getting and using the card (1) • Purchases are limited to the amount on the card (1) therefore spending is limited (1) • Some cards have maximum amounts which can be loaded onto the card (1) which limits its use (1) • Less protection than credit cards (1) because pre-paid cards are not covered by Consumer Credit Act (1) • Inconvenient/time consuming (1) because money has to be added to the card (1) • Some prepaid cards have an expiry date (1) which means any money left on the card after expiry could be lost/unused (1) • Some prepaid cards only work for one specific store (1) which limits its use (1) Accept any other appropriate response.	(4)

Question number	Indicative content		Mark
4	Advantages • Quick / easy to access • Can be accessed anywhere with internet connection • Available 24/7 • Can make multiple comparisons of different retailers in one search • Saves money by finding cheapest option • Use of filter can allow like for like comparisons • Can use the reviews to support decision to buy • Further discounts/offers/incentives may be available Disadvantages • Not all retailers will be shown • Not all products may be listed • Product might be unavailable/discontinued • No opportunity to negotiate • Specialist advice unavailable • May not compare like-for-like features such as guarantees • Could be other costs not shown in the headline price (e.g. delivery) • Information could be outdated • Could be biased if companies are able to pay to have their products given priority • Product information might be more limited Accept any other appropriate response.		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	• Demonstrates knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.	

3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.
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Question number	Indicative Content	Mark
5	Benefits • The value of shares tend to go up in value over the long term • Companies may pay dividends each year which will increase the value of his inheritance • Any dividends can have a higher return than the interest received on savings • Shares may offer the opportunity of short-term rapid increase in value • If the shares have been purchased in a plc they can be sold easily on the stock exchange • May be able to influence the way the business is run by using any voting rights he might have • Rob can spread the risk by buying shares in a range of companies Drawbacks • Dividends may not be paid at all as it is discretionary • If a company was to go into liquidation Rob could lose all of his investment • Rob cannot access his money without selling shares which could cause him to lose money if the share price was lower than when he purchased them • May not be willing to risk losing the money given he has a young family • Shares may need more active management in order to maximise investment • If the shares have been purchased in a Ltd it is harder to sell the shares • Relatively small amount to invest so it is harder to spread the risk • Regular share dealing will incur costs • Inflation could erode the value of the investment	(10)

Mark scheme (award up to 10 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.		
Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Assessment likely to consist of basic description of information. • Judgements on significance may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–7	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Assessment is presented leading to judgements on significance but

		some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language
Level 3	8–10	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application containing linkages and interrelationships between factors leading to a judgement/judgements being made. • Displays a well-developed and balanced assessment leading to rationalised judgements on significance. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.

Question number	Indicative content	Mark
6	Ashridge • Cheapest of the four • The vet fee cover is £2 000 • No loss/stolen cover which could be an issue given the location near a busy road and the cat cost £450 • Has the highest excess of £75 Shirevale • Second cheapest • Lowest cover for vet fees of £1 000 • Second lowest loss/stolen cover of £400 which does not cover the original cost of the cat • Second highest excess of £60 The Royal Insurance • Second most expensive • The vet fee cover is £2 000 which is average • Second highest loss/stolen cover of £550 which is more than the original cost of the cat • second lowest excess of £50 Westshire • most expensive • provides best vet fee cover of £4 000 • provides highest loss/stolen cover of £800 which is more than the original cost of the cat • lowest excess of £25	(12)

Level	Mark	Award up to 12 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes
	0	No rewardable material.
1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.

3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

Section B Business Finance

Question number	Answer	Mark
7	Award one mark for each feature identified, up to a maximum of two marks: • Medium-long term source of finance / borrowing (1) • Fixed repayments (1) • Interest is charged/paid (1) • Repayment date is specified (1) • Can be secured against non-current assets (1) • Does not give voting rights (1) • Usually for large amounts (1) • Adds to debt of a company (1) Accept any other appropriate response.	(2)

Question number	Answer	Mark
8	Award one mark for each effect up to a maximum of two marks: • Increases expenses (1) • Reduces profit for the year / net profit (1) • Improves cash flow / liquidity (1) • Reduces the risk of debts not being paid (1) Accept any other appropriate response. Do not award a mark where candidates state effects of trade discounts e.g. bulk buying discounts Do not award a mark for increases/decreases revenue	(2)

Question Number	Answer	Mark																																				
9a	Silva Statement of Comprehensive Income for the year ended 31 December 2019 <table border="1"> <thead> <tr> <th></th><th>£</th><th>£</th></tr> </thead> <tbody> <tr> <td>Sales</td><td></td><td>31 600</td></tr> <tr> <td>Opening inventory</td><td>(i) 756</td><td></td></tr> <tr> <td>Purchases</td><td>17 500</td><td></td></tr> <tr> <td>Closing inventory</td><td>3 496</td><td></td></tr> <tr> <td>Cost of goods sold</td><td></td><td>14 760</td></tr> <tr> <td>Gross profit</td><td></td><td>(ii) 16 840</td></tr> <tr> <td>Expenses</td><td></td><td></td></tr> <tr> <td>Wages</td><td>8 234</td><td></td></tr> <tr> <td>Heating and lighting</td><td>(iii) 3 108</td><td></td></tr> <tr> <td>Total expenses</td><td></td><td>11 342</td></tr> <tr> <td>Profit for the year</td><td></td><td>(iv) 5 498 (ECF from (ii))</td></tr> </tbody> </table>		£	£	Sales		31 600	Opening inventory	(i) 756		Purchases	17 500		Closing inventory	3 496		Cost of goods sold		14 760	Gross profit		(ii) 16 840	Expenses			Wages	8 234		Heating and lighting	(iii) 3 108		Total expenses		11 342	Profit for the year		(iv) 5 498 (ECF from (ii))	(4)
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Question Number	Answer	Mark
9c	Award three marks for the correct response of • 1.07:1 • 1.1:1 Accept without answer being shown as a ratio e.g.: • 1.07 • 1.1 Accept any of the above conventions where the figure is given to a more accurate decimal place (e.g. 1.067073:1) OR Award one mark for the correct formula in words or numbers: • Liquid capital ratio = (Current assets – inventory) / current liabilities Liquid capital ratio = (£6 296 – £3 496) / £2 624 AND Award one mark for the correct calculation of liquid assets of £2 800 NB. £ is not required	(3)

Question Number	Answer	Mark
9d	Award two marks for the correct response of • 55 days or • 54.7 days or • 54.73 days Accept with or without the label of days Accept any of the above conventions where the figure is given to a more accurate decimal place (e.g. 54.729122) OR Award one mark for the correct formula in words or figures: • Trade payable days = trade payables / credit purchases * 365 $\frac{\pounds 2\,624}{\pounds 17\,500} * 365$ NB. £ is not required	(2)

Question number	Answer	Mark
10 (a)	Award four marks for the correct answer of 850 units Accept with or without the label of units OR Award three marks for answer of 444 units (where plant cost (£5.50 missed) Award three marks for answer of 600 units (where pot and soil cost (£2.50 missed) OR Award three marks for 5 100 / £6 OR Award two marks for 5 100 / (£14 – £8) OR	(4)

	Award one mark for formula in numbers or words: - Break even = $5\,100 / (£14 - (£5.50 + £2.50))$ - Break even = Fixed costs / selling price – variable cost - Break even = Fixed costs / contribution per unit AND Award one further mark for the calculation of the variable cost per unit of £8 AND Award one further mark for calculation of the contribution of £6 NB. £ is not required	
Question number	Answer	Mark
10 (b)	Award three marks for 710 units Accept with or without the label of units OR Award three marks where $1\,560 - (\text{candidate's ECF from 10a}) = \text{correct answer (ECF)}$ OR Award one mark for formula in words or numbers: Margin of safety = expected sales – break-even quantity Margin of safety = $(30 \times 52) - 850$ (ECF from 10a) AND Award one mark for correct calculation of expected annual sales of 1 560 NB: Do not accept “sales revenue” as part of the formula in words.	(3)

Question number	Answer	mark
10 (c)	Award three marks for £800 OR Award one mark for formula in words: Profit = Revenue – (Total variable costs + Fixed Costs) OR Award one mark for the formula in numbers Profit = £5 000 – (£3 600 + £600) AND Award up to one further mark for calculation of total costs of £4 200 NB. £ is not required	(3)

Question number	Indicative content		Mark
11	Advantages • Provides a systematic approach to analysing performance • Simplifies the interpretation of financial statements • Allows comparison of companies • Allows comparison of business performance over time • Provides summarised data for stakeholders • Enables benchmarking • Identifies the financial strengths and weaknesses of a business Disadvantages • Ratios are quantitative – they do not show qualitative data • Ratios look at the past, not the future • Comparable information is not always available • Financial information can be manipulated • Accounting Standards allow different accounting policies, which impairs comparability Accept any other appropriate response.		(6)
Level	Mark	Award up to 6 marks. Refer to the guidance on the cover of this document for how to apply levels-based mark schemes	
	0	No rewardable material.	
1	1–2	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of weighing up of competing arguments/pros and cons in context; discussion likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.	
2	3–4	• Demonstrates accurate knowledge and understanding of relevant information with a few gaps or omissions. • Discussion is partially developed, but will be imbalanced. Evidences the weighing up of competing arguments/pros and cons in context. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.	

3	5–6	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Displays a well-developed and balanced discussion, demonstrating a thorough grasp of competing arguments/pros and cons in context. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.
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Question number	Indicative Content	Mark
12	• Allows judgements to be made on the selling price based on contribution – if her most popular product is not selling as well as expected she may need to reduce the price • Allows review of variable cost per unit although control of this is with the supplier • Allows review of variable cost to decide if they should switch supplier • Enables you to calculate break-even point (4 800 for her most popular flowers) • Target setting tool based on break-even point e.g. selling 14 bouquets a day of her most popular flowers would achieve break even • Helps with overall planning by making predictions • The contribution per unit will vary for different products i.e. £5 for her most popular product gives a break-even figure of 4 800 if she only sold this product (or learner may use £6 (OFR) for potted plants from Q10) • Contribution will be affected by sales promotions/trade discounts • Enables comparison of profitability of different products • Enables decisions on introducing/discontinuing products Reward any figures that the learner might have used in the correct context as application to the scenario	(8)

Mark scheme (award up to 8 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Analysis likely to consist of basic description of information. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to an analysis being presented. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–8	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to a balanced analysis containing linkages and interrelationships between factors. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently.

Question number	Indicative content	Mark
13	• Cash flow improves because inflow is immediate rather than 60 days delay e.g. after the first two months <i>Silva's</i> cash flow will be £2 112 (£1 008+£1 104) better off than if she did not do invoice discounting • Once <i>Silva's</i> cash flow improves it can stop using invoice discounting • Profits will be reduced for each month by the amounts payable to the invoicing discounting company • The charge of 20% on invoices is expensive – it may be cheaper to borrow/use an overdraft to reduce expenses • The improved cash flow could allow <i>Silva</i> to negotiate better deals by paying its suppliers earlier which would improve profitability • May not be accepted as only has limited credit collection experience so may be seen as risky to the business offering invoice discounting • Could be other hidden costs which will further reduce profit and liquidity • Customers do not know about the transaction so are unaffected unlike with debt factoring	(10)

Mark scheme (award up to 10 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Assessment likely to consist of basic description of information. • Judgements on significance may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity and fails to provide an adequate answer to the question.
Level 2	4–7	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Assessment is presented leading to judgements on significance but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	8–10	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application containing linkages and interrelationships between factors leading to a judgement/judgements being made. • Displays a well-developed and balanced assessment leading to rationalised judgements on significance. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.

Question number	Indicative content	Mark
14	Advantages of leasing property • £800 a month cheaper than the mortgage repayments • Appropriate for a small company with cash flow issues • Short-term lease could mean the business can leave the property if needed • Lease may be extended beyond the five years Disadvantages of leasing property • At the end of the five-year lease the business could be asked to vacate the premises • Lease costs are likely to increase at the end of the five years • Significant costs of moving the business could have to be paid on multiple occasions • Do not own the property so does not improve the value of the business • Does not give long term stability if the business has to relocate at the end of the lease • Will face additional costs if the business tries to end the lease early Advantages of mortgage property • Property is an asset and shown on the statement of financial position increasing the value of the business • Could benefit from increasing property prices • Provides long-term stability • After 20 years the business will own the property • Relocation costs will be a one-off • Provides flexibility as the property can be sold depending on business needs Disadvantages of mortgage property • £800 a month more expensive although this could change dependent on interest rates • May be more expensive than it can afford • Significant deposit might be required that the business may not have • Could lose the property if it defaults on the mortgage repayments • Property values can decrease	(12)

Mark scheme (award up to 12 marks) refer to the guidance on the cover of this document for how to apply levels-based mark schemes*.

Level	Mark	Descriptor
Level 0	0	No rewardable material.
Level 1	1–3	• Demonstrates isolated knowledge and understanding of relevant information; there may be major gaps or omissions. • Provides little evidence of application and links between relevant information. Evaluation likely to consist of basic description of information. • Conclusions may be presented, but are likely to be generic assertions rather than supported by evidence. • Meaning may be conveyed but in a non-specialist way; response lacks clarity
Level 2	4–6	• Demonstrates accurate knowledge and understanding of relevant information with a few omissions. • Evidence of application demonstrating some linkages and interrelationships between factors leading to a judgement/judgements being made. • Evaluation is presented leading to conclusions but some may be lacking support. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 3	7–9	• Demonstrates accurate knowledge and understanding of relevant information with a few minor omissions. • Evidence of application demonstrating linkages and interrelationships between factors leading to a supported judgement/judgements being made. • Displays a balanced evaluation demonstrating an awareness of competing arguments, leading to conclusions. • Demonstrates the use of logical reasoning, clarity, and appropriate specialist technical language.
Level 4	10–12	• Demonstrates accurate and thorough knowledge and understanding of relevant information; any gaps or omissions are minor. • Evidences thorough application leading to balanced evaluation drawing on linkages and interrelationships between factors. • Displays a well-developed, balanced and coherent evaluation, demonstrating a thorough grasp of competing arguments, leading to supported conclusions. • Logical reasoning evidenced throughout response which is clear and uses specialist technical language consistently and fluently.

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